

QUANTA COMPUTER INC. AND SUBSIDIARIES

CONSOLIDATED FINANCIAL STATEMENTS

**With Independent Auditors' Review Report
For the Three Months Ended March 31, 2026 and 2025**

Address: No.188, Wenhua 2nd Rd., Guishan Dist., Taoyuan City, Taiwan, R.O.C.
Telephone: (03)327-2345

The independent auditors' review report and the accompanying consolidated financial statements are the English translation of the Chinese version prepared and used in the Republic of China. If there is any conflict between, or any difference in the interpretation of the English and Chinese language independent auditors' review report and consolidated financial statements, the Chinese version shall prevail.

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安侯建業聯合會計師事務所
KPMG

台北市110615信義路5段7號68樓(台北101大樓)
68F., TAIPEI 101 TOWER, No. 7, Sec. 5,
Xinyi Road, Taipei City 110615, Taiwan (R.O.C.)

電話 Tel	+ 886 2 8101 6666
傳真 Fax	+ 886 2 8101 6667
網址 Web	kpmg.com/tw

Independent Auditors' Review Report

To the Board of Directors of Quanta Computer Inc.:

Introduction

We have reviewed the accompanying consolidated statements of financial position of Quanta Computer Inc. and its subsidiaries ("the Group") as of March 31, 2026 and 2025, and the related consolidated statements of comprehensive income for the three months ended March 31, 2026 and 2025, and changes in equity and cash flows for the three months ended March 31, 2026 and 2025 and notes to the consolidated financial statements, including a summary of significant accounting policies. Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standards ("IASs") 34, "Interim Financial Reporting" endorsed and issued into effect by the Financial Supervisory Commission of the Republic of China. Our responsibility is to express a conclusion on the consolidated financial statements based on our reviews.

Scope of Review

Except as explained in the Basis for Qualified Conclusion paragraph, we conducted our reviews in accordance with the Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity" of the Republic of China. A review of the consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with the Standards on Auditing of the Republic of China and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Basis for Qualified Conclusion

As stated in Note 4 (b), the consolidated financial statements included the financial statements of certain non-significant subsidiaries, which were not reviewed by independent auditors. These financial statements reflect total assets amounting to TWD116,539,462 thousand and TWD98,850,958 thousand, constituting 6.67% and 9.47% of consolidated total assets as of March 31, 2026 and 2025, respectively, total liabilities amounting to TWD55,233,266 thousand and TWD30,488,426 thousand, constituting 3.61% and 3.62% of consolidated total liabilities as of March 31, 2026 and 2025, respectively, and total comprehensive loss amounting to TWD1,150,877 thousand and TWD529,737 thousand, constituting (4.72)% and (2.52)% of consolidated total comprehensive income for the three months ended March 31, 2026 and 2025, respectively.

Furthermore, as stated in Note 6 (h), the other equity accounted investments of the Group in its investee companies of TWD209,306 thousand and TWD421,806 thousand as of March 31, 2026 and 2025, respectively, and its equity in net loss on these investee companies of TWD5,572 thousand and TWD13,766 thousand for the three months ended March 31, 2026 and 2025, respectively, were recognized solely on the financial statements prepared by these investee companies, but not reviewed by independent auditors.



Qualified Conclusion

Except for the adjustments, if any, as might have been determined to be necessary had the financial statements of certain consolidated subsidiaries and equity accounted investee companies described in the Basis for Qualified Conclusion paragraph above been reviewed by independent auditors, based on our reviews, nothing has come to our attention that causes us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as of March 31, 2026 and 2025, and of its consolidated financial performance for the three months ended March 31, 2026 and 2025, and its consolidated cash flows for the three months ended March 31, 2026 and 2025, in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and IASs 34, “Interim Financial Reporting” endorsed and issued into effect by the Financial Supervisory Commission of the Republic of China.

The engagement partners on the reviews resulting in this independent auditors’ review report are Wu, Tsao-Jen and Lien, Shu-Ling.

KPMG

Taipei, Taiwan (Republic of China)

May 14, 2026

Notes to Readers

The accompanying consolidated financial statements are intended only to present the consolidated statement of financial position, financial performance and cash flows in accordance with the accounting principles and practices generally accepted in the Republic of China and not those of any other jurisdictions. The standards, procedures and practices to review such consolidated financial statements are those generally accepted and applied in the Republic of China.

The independent auditors’ review report and the accompanying consolidated financial statements are the English translation of the Chinese version prepared and used in the Republic of China. If there is any conflict between, or any difference in the interpretation of the English and Chinese language independent auditors’ review report and consolidated financial statements, the Chinese version shall prevail.

QUANTA COMPUTER INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
MARCH 31, 2026, DECEMBER 31, 2025, AND MARCH 31, 2025
(AMOUNTS EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS)

ASSETS		March 31, 2026		December 31, 2025		March 31, 2025		LIABILITIES AND EQUITY		March 31, 2026		December 31, 2025		March 31, 2025			
		Amount	%	Amount	%	Amount	%			Amount	%	Amount	%	Amount	%		
Current assets:								Current liabilities:									
1100	Cash and cash equivalents (Note (6)(a))	\$	226,733,228	13	178,309,881	14	171,745,616	16	2100	Short-term borrowings (Notes (6)(e) and (6)(m))	\$	328,400,514	19	241,723,994	18	233,994,764	22
1110	Current financial assets at fair value through profit or loss (Note (6)(b))		34,520,829	2	18,782,974	1	36,978,208	4	2120	Current financial liabilities at fair value through profit or loss (Note (6)(b))		40,732	-	-	-	6,060	-
1120	Current financial assets at fair value through other comprehensive income (Note (6)(c))		6,416,133	-	5,534,929	1	5,880,147	1	2130	Current contract liabilities (Notes (6)(v) and (7))		123,687,517	7	107,124,589	8	98,472,902	9
									2170	Accounts payable		723,988,078	41	535,232,189	40	302,105,193	29
1172	Accounts receivable, net (Notes (6)(e) and (7))		658,933,249	38	494,968,676	37	451,141,657	43	2219	Other payables (Note (7))		117,599,493	7	58,373,447	5	97,857,698	9
1200	Other receivables, net (Notes (6)(f) and (7))		1,888,006	-	1,686,297	-	1,377,314	-	2230	Current tax liabilities		23,821,192	1	21,021,595	2	17,432,976	2
1310	Inventories (Note (6)(g))		673,886,075	39	512,945,798	38	277,147,661	27	2250	Current provisions		358,098	-	1,782,367	-	328,674	-
1476	Other current financial assets (Note (8))		927,252	-	1,723,870	-	939,710	-	2280	Current lease liabilities (Note (6)(p))		2,038,953	-	1,782,693	-	1,520,032	-
1479	Other current assets, others		22,422,642	1	18,112,053	1	4,226,734	-	2305	Other current financial liabilities		24,806,637	1	22,924,330	2	15,950,846	2
			1,625,727,414	93	1,232,064,478	92	949,437,047	91	2320	Long-term liabilities, current portion (Note (6)(n))		32,428,758	2	16,603,350	1	7,463,217	1
	Non-current assets:								2365	Current refund liabilities		10,036,030	1	5,972,380	-	6,941,329	1
1510	Non-current financial assets at fair value through profit or loss (Note (6)(b))		3,217,702	-	3,065,409	-	2,394,171	-	2399	Other current liabilities, others		1,579,782	-	1,614,350	-	5,395,389	1
											1,388,785,784	79	1,014,155,284	76	787,469,080	76	
1517	Non-current financial assets at fair value through other comprehensive income (Note (6)(c))		8,787,462	1	8,742,665	1	3,188,654	-		Non-Current liabilities:							
								2500	Non-current financial liabilities at fair value through profit or loss (Notes (6)(b) and (6)(o))		613,908	-	710,899	-	506,469	-	
1535	Non-current financial assets at amortized cost, net (Note (6)(d))		5,305,186	-	3,102,641	-	1,649,222	-	2530	Bonds payable (Note (6)(o))		56,897,787	3	56,578,932	4	28,946,891	3
1550	Investments accounted for using equity method (Note (6)(h))		209,306	-	216,884	-	421,806	-	2540	Long-term borrowings (Note (6)(n))		64,082,407	4	-	-	12,055,508	1
								2570	Deferred tax liabilities		10,074,695	1	9,892,812	1	10,356,071	1	
1600	Property, plant and equipment (Note (6)(i))		79,285,780	4	72,969,614	5	69,862,717	7	2580	Non-current lease liabilities (Note (6)(p))		8,188,745	-	5,807,293	-	3,639,948	-
1755	Right-of-use assets (Note (6)(j))		10,045,573	1	7,720,081	1	5,781,256	1	2640	Net defined benefit liability, non-current (Note (6)(q))		149,406	-	155,145	-	148,798	-
1760	Investment property, net (Note (6)(k))		66,435	-	66,617	-	67,165	-	2670	Other non-current liabilities, others		68,400	-	66,878	-	77,172	-
1780	Intangible assets (Note (6)(l))		549,975	-	535,194	-	496,587	-			140,075,348	8	73,211,959	5	55,730,857	5	
1840	Deferred tax assets		10,979,426	1	11,040,302	1	8,047,884	1		Total liabilities		1,528,861,132	87	1,087,367,243	81	843,199,937	81
1980	Other non-current financial assets (Note (8))		1,723,526	-	1,645,034	-	982,526	-		Equity attributable to owners of parent (Note (6)(s)):							
1995	Other non-current assets, others		2,411,830	-	1,942,824	-	1,567,418	-									
			122,582,201	7	111,047,265	8	94,459,406	9	3100	Share capital		38,626,274	2	38,626,274	3	38,626,274	4
								3200	Capital surplus		21,149,722	1	21,155,830	1	17,308,200	2	
								3300	Retained earnings		146,257,785	9	185,322,339	14	129,729,982	11	
								3400	Other equity		1,782,101	-	(1,194,320)	-	7,532,180	1	
								3500	Treasury shares		(333,094)	-	(333,094)	-	(333,094)	-	
									Total equity attributable to owners of parent		207,482,788	12	243,577,029	18	192,863,542	18	
								36XX	Non-controlling interests		11,965,695	1	12,167,471	1	7,832,974	1	
									Total equity		219,448,483	13	255,744,500	19	200,696,516	19	
TOTAL ASSETS		\$	1,748,309,615	100	1,343,111,743	100	1,043,896,453	100	TOTAL LIABILITIES AND EQUITY		\$	1,748,309,615	100	1,343,111,743	100	1,043,896,453	100

See accompanying notes to financial statements.

QUANTA COMPUTER INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE THREE MONTHS ENDED MARCH 31, 2026 AND 2025
(AMOUNTS EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS)

		For the Three Months Ended March 31,			
		2026		2025	
		Amount	%	Amount	%
4000	Operating revenue (Notes (6)(v) and (7))	\$ 809,221,055	100	485,671,990	100
5000	Operating costs (Note (6)(g))	770,524,024	95	447,189,335	92
	Gross profit from operations	38,697,031	5	38,482,655	8
	Operating expenses:				
6100	Selling expenses	2,213,063	-	2,104,180	-
6200	General and administrative expenses	3,999,759	1	3,455,631	1
6300	Research and development expenses	9,460,197	1	8,322,395	2
		15,673,019	2	13,882,206	3
	Net operating income	23,024,012	3	24,600,449	5
	Non-operating income and expenses:				
7100	Interest income (Note (6)(x))	1,495,785	-	1,411,424	-
7010	Other income (Note (6)(x))	35,818	-	19,887	-
7020	Other gains and losses, net (Notes (6)(x) and (7))	3,557,031	-	1,663,831	-
7050	Financial costs (Note (6)(x))	(3,570,434)	-	(2,412,529)	-
7060	Share of loss of associates accounted for using equity method (Note (6)(h))	(5,572)	-	(13,766)	-
		1,512,628	-	668,847	-
7900	Profit before tax	24,536,640	3	25,269,296	5
7950	Less: Tax expense (Note (6)(r))	3,230,527	-	5,572,154	1
	Profit	21,306,113	3	19,697,142	4
	Other comprehensive income (loss):				
8310	Components of other comprehensive income that will not be reclassified to profit or loss				
8316	Unrealized gains(losses) from investments in equity instruments measured at fair value through other comprehensive income	(220,506)	-	(868,673)	-
8320	Shares of other comprehensive income of associates accounted for using equity method, components of other comprehensive income that will not be reclassified to profit or loss (Note (6)(h))	-	-	49	-
8349	Less: Income tax related to components of other comprehensive income that will not be reclassified to profit or loss	-	-	-	-
	Total components of other comprehensive income (loss) that will not be reclassified to profit or loss	(220,506)	-	(868,624)	-
8360	Components of other comprehensive income that will be reclassified to profit or loss				
8361	Exchange differences on translation of foreign financial statements	3,289,932	-	2,230,028	-
8370	Shares of other comprehensive income of associates accounted for using equity method, components of other comprehensive income that will be reclassified to profit and loss (Note (6)(h))	885	-	1,235	-
8399	Less: Income tax related to components of other comprehensive income that will be reclassified to profit or loss	-	-	-	-
	Total components of other comprehensive income that will be reclassified to profit or loss	3,290,817	-	2,231,263	-
	Other comprehensive income, net of income tax	3,070,311	-	1,362,639	-
8500	Total comprehensive income	\$ 24,376,424	3	21,059,781	4
	Profit attributable to:				
8610	Profit, attributable to owners of parent	\$ 21,192,434	3	19,498,468	4
8620	Profit, attributable to non-controlling interests	113,679	-	198,674	-
		\$ 21,306,113	3	19,697,142	4
	Comprehensive income attributable to:				
8710	Comprehensive income, attributable to owners of parent	\$ 24,168,802	3	20,793,033	4
8720	Comprehensive income, attributable to non-controlling interests	207,622	-	266,748	-
		\$ 24,376,424	3	21,059,781	4
	Earnings per share attributable to parent company (Note (6)(u))				
9750	Basic earnings per share (NT dollars)	\$ 5.50		5.06	
9850	Diluted earnings per share (NT dollars)	\$ 5.27		4.98	

See accompanying notes to financial statements.

(ENGLISH TRANSLATION OF CONSOLIDATED FINANCIAL STATEMENTS ORIGINALLY ISSUED IN CHINESE)

QUANTA COMPUTER INC. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

FOR THE THREE MONTHS ENDED MARCH 31, 2026 AND 2025

(AMOUNTS EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS)

	Equity Attributable to Owners of Parent										
	Share Capital					Other Equity			Total Equity Attributable to Owners of Parent	Non-Controlling Interests	Total Equity
	Ordinary Share	Capital Surplus	Legal Reserve	Special Reserve	Unappropriated Retained Earnings	Exchange Differences on Translation of Foreign Financial Statements	Unrealized Gains (Losses) from Financial Assets Measured at Fair Value Through Other Comprehensive Income	Treasury Shares			
Balance as of January 1, 2025	\$ 38,626,274	17,309,328	47,603,259	1,783,456	111,058,955	14,883,863	(8,646,248)	(333,094)	222,285,793	8,020,106	230,305,899
Profit	-	-	-	-	19,498,468	-	-	-	19,498,468	198,674	19,697,142
Other comprehensive income (loss)	-	-	-	-	-	2,192,026	(897,461)	-	1,294,565	68,074	1,362,639
Total comprehensive income (loss)	-	-	-	-	19,498,468	2,192,026	(897,461)	-	20,793,033	266,748	21,059,781
Appropriation and distribution of retained earnings:											
Cash dividends of ordinary share	-	-	-	-	(50,214,156)	-	-	-	(50,214,156)	-	(50,214,156)
Other changes in capital surplus:											
Changes in equity of subsidiaries and associates accounted for using equity method	-	(1,128)	-	-	-	-	-	-	(1,128)	-	(1,128)
Changes in non-controlling interests	-	-	-	-	-	-	-	-	-	(453,880)	(453,880)
Balance as of March 31, 2025	\$ 38,626,274	17,308,200	47,603,259	1,783,456	80,343,267	17,075,889	(9,543,709)	(333,094)	192,863,542	7,832,974	200,696,516
Balance as of January 1, 2026	\$ 38,626,274	21,155,830	53,583,935	-	131,738,404	6,287,912	(7,482,232)	(333,094)	243,577,029	12,167,471	255,744,500
Profit	-	-	-	-	21,192,434	-	-	-	21,192,434	113,679	21,306,113
Other comprehensive income (loss)	-	-	-	-	-	3,205,985	(229,617)	-	2,976,368	93,943	3,070,311
Total comprehensive income (loss)	-	-	-	-	21,192,434	3,205,985	(229,617)	-	24,168,802	207,622	24,376,424
Appropriation and distribution of retained earnings:											
Cash dividends of ordinary share	-	-	-	-	(60,256,988)	-	-	-	(60,256,988)	-	(60,256,988)
Other changes in capital surplus:											
Changes in equity of subsidiaries and associates accounted for using equity method	-	(2,885)	-	-	-	-	-	-	(2,885)	18	(2,867)
Changes in ownership interests in subsidiaries	-	(3,223)	-	-	-	70	(17)	-	(3,170)	3,170	-
Changes in non-controlling interests	-	-	-	-	-	-	-	-	-	(412,586)	(412,586)
Balance as of March 31, 2026	\$ 38,626,274	21,149,722	53,583,935	-	92,673,850	9,493,967	(7,711,866)	(333,094)	207,482,788	11,965,695	219,448,483

See accompanying notes to financial statements.

QUANTA COMPUTER INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE THREE MONTHS ENDED MARCH 31, 2026 AND 2025
(AMOUNTS EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS)

	For the Three Months Ended March 31,	
	2026	2025
Cash flows from operating activities:		
Profit before tax	\$ 24,536,640	25,269,296
Adjustments:		
Adjustments to reconcile profit:		
Depreciation expenses	3,256,233	2,670,298
Amortization expenses	380,157	362,799
Expected credit losses (gains)	66,403	(47,047)
Net gains on financial assets or liabilities at fair value through profit or loss	(157,386)	(56,919)
Interest expenses	3,570,434	2,412,529
Interest income	(1,495,785)	(1,411,424)
Dividend income	(35,818)	(19,887)
Share-based payments	680	1,000
Shares of loss of associates accounted for using equity method	5,572	13,766
Losses on disposal of property, plant and equipment	37,758	99,346
Property, plant and equipment transferred to expense	156	78
Gains on liquidation of subsidiary	(178,561)	-
Reversal of impairment losses on non-financial assets	-	(1,111)
Total adjustments to reconcile profit	5,449,843	4,023,428
Changes in operating assets and liabilities:		
Changes in operating assets:		
Financial assets at fair value through profit or loss, mandatorily measured at fair value	2,650,266	(428,806)
Accounts receivable	(163,857,003)	(79,851,460)
Other receivables	41,932	319,355
Inventories	(160,918,424)	(15,249,041)
Other current assets	(4,346,475)	(483,031)
Other financial assets	120	(1,149)
Other non-current assets	-	(12,891)
Total changes in operating assets	(326,429,584)	(95,707,023)
Changes in operating liabilities:		
Contract liabilities	16,562,928	8,905,103
Accounts payable	188,800,351	19,300,390
Other payables	(3,890,773)	(1,496,922)
Provisions	(1,424,269)	19,450
Other financial liabilities	1,877,012	1,344,890
Other current liabilities	3,934,981	4,704,763
Net defined benefit liabilities	(5,739)	(5,415)
Other non-current liabilities	(219)	(2,358)
Total changes in operating liabilities	205,854,272	32,769,901
Total changes in operating assets and liabilities	(120,575,312)	(62,937,122)
Total adjustments	(115,125,469)	(58,913,694)

See accompanying notes to financial statements.

QUANTA COMPUTER INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE THREE MONTHS ENDED MARCH 31, 2026 AND 2025
(AMOUNTS EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS)

	For the Three Months Ended March 31,	
	2026	2025
Cash outflow generated from operations	(90,588,829)	(33,644,398)
Interest received	1,525,758	1,411,329
Dividends received	35,818	19,887
Interest paid	(2,925,648)	(1,933,417)
Income taxes paid	<u>(257,080)</u>	<u>(755,090)</u>
Net cash flows used in operating activities	<u>(92,209,981)</u>	<u>(34,901,689)</u>
Cash flows from investing activities:		
Acquisition of financial assets at fair value through other comprehensive income	(1,146,508)	(163,875)
Acquisition of financial assets measured at amortized cost	(2,188,998)	-
Acquisition of financial assets at fair value through profit or loss	(18,439,116)	(5,663,787)
Acquisition of property, plant and equipment	(6,011,664)	(4,375,183)
Proceeds from disposal of property, plant and equipment	68,401	104,824
Acquisition of intangible assets	(125,664)	(99,700)
Decrease in other financial assets	689,005	144,770
Increase in other non-current assets	<u>(697,029)</u>	<u>(292,587)</u>
Net cash flows used in investing activities	<u>(27,851,573)</u>	<u>(10,345,538)</u>
Cash flows from financing activities:		
Increase in short-term borrowings	86,026,457	76,440,437
Proceeds from long-term borrowings	80,007,739	57,155
Repayments of long-term borrowings	(455,316)	(25,184,735)
Payments of lease liabilities	(432,095)	(374,610)
Increase (decrease) in other non-current liabilities	1,741	(4,313)
Changes in non-controlling interests	5,549	-
Other financing activities	<u>25</u>	<u>-</u>
Net cash flows from financing activities	<u>165,154,100</u>	<u>50,933,934</u>
Effect of exchange rate changes on cash and cash equivalents	<u>3,330,801</u>	<u>2,066,743</u>
Net increase in cash and cash equivalents	48,423,347	7,753,450
Cash and cash equivalents at the beginning of period	<u>178,309,881</u>	<u>163,992,166</u>
Cash and cash equivalents at the end of period	<u>\$ 226,733,228</u>	<u>171,745,616</u>

See accompanying notes to financial statements.

QUANTA COMPUTER INC. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

MARCH 31, 2026 AND 2025

**(AMOUNTS EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS,
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(1) Overview

Quanta Computer Inc. (the “Company”) was incorporated on May 9, 1988, as a company limited by shares and registered under the Ministry of Economic Affairs, R.O.C. The address of the Company’s registered office is No. 188, Wenhua 2nd Rd., Guishan Dist., Taoyuan City, Taiwan, R.O.C.. The shares of the Company became officially listed and traded on the Taiwan Stock Exchange on January 8, 1999. The Company and its subsidiaries (together referred to as the “Group”) engage primarily in the manufacturing, processing, and sales of laptop computers and cloud-computing server related products.

(2) Financial Statements Authorization Date and Authorization Process

The consolidated financial statements for the three months ended March 31, 2026 and 2025 were authorized for issuance by the Board of Directors on May 14, 2026.

(3) New Standards, Amendments and Interpretations Adopted:

- (a) The impact of the International Financial Reporting Standards (“IFRS Accounting Standards”) endorsed by the Financial Supervisory Commission, R.O.C. (FSC) which have already been adopted.

The Group has initially adopted the following new amendments, which do not have a significant impact on its consolidated financial statements, from January 1, 2026:

- IFRS 17 “Insurance Contracts” and amendments to IFRS 17 “Insurance Contracts”
- Amendments to IFRS 9 and IFRS 7 “Amendments to the Classification and Measurement of Financial Instruments”
- Annual Improvements to IFRS Accounting Standards—Volume 11
- Amendments to IFRS 9 and IFRS 7 “Contracts Referencing Nature-dependent Electricity”

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- (b) The impact of IFRS Accounting Standards issued by IASB but not yet endorsed by the FSC

The following new and amended standards, which may be relevant to the Group, have been issued by the International Accounting Standards Board (IASB), but have yet to be endorsed by the FSC:

Standards or Interpretations	Content of amendment	Effective date per IASB
IFRS 18 “Presentation and Disclosure in Financial Statements”	The new standard introduces three categories of income and expenses, two income statement subtotals and one single note on management performance measures. The three amendments, combined with enhanced guidance on how to disaggregate information, set the stage for better and more consistent information for users, and will affect all the entities. • A more structured income statement: under current standards, companies use different formats to present their results, making it difficult for investors to compare financial performance across companies. The new standard promotes a more structured income statement, introducing a newly defined ‘operating profit’ subtotal and a requirement for all income and expenses to be allocated between three new distinct categories based on a company’s main business activities. • Management performance measures (MPMs): the new standard introduces a definition for management performance measures, and requires companies to explain in a single note to the financial statements why the measure provides useful information, how it is calculated and reconcile it to an amount determined under IFRS Accounting Standards. • Greater disaggregation of information: the new standard includes enhanced guidance on how companies group information in the financial statements. This includes guidance on whether information is included in the primary financial statements or is further disaggregated in the notes.	January 1, 2027 note: On September 25, 2025, the FSC issued a press release announcing that Taiwan will adopt IFRS 18 beginning in 2028. Entities that need to adopt the new standard earlier may do with the endorsement of the FSC.

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The Group is evaluating the impact on its consolidated financial position and consolidated financial performance upon the initial adoption of the abovementioned standards or interpretations. The results thereof will be disclosed when the Group completes its evaluation.

The Group does not expect the following other new and amended standards, which have yet to be endorsed by the FSC, to have a significant impact on its consolidated financial statements:

- Amendments to IFRS 10 and IAS 28 “Sale or Contribution of Assets Between an Investor and Its Associate or Joint Venture”
- IFRS 19 “Subsidiaries without Public Accountability: Disclosures” and amendments to IFRS 19
- Amendments to IAS 21 “Translation to a Hyperinflationary Presentation Currency”

(4) Summary of Material Accounting Policies

Except the following accounting policies mentioned below, the material accounting policies adopted in the consolidated financial statements are the same as those in the consolidated financial statements for the year ended December 31, 2025. For the related information, please refer to Note (4) of the consolidated financial statements for the year ended December 31, 2025.

(a) Statement of compliance

These consolidated financial statements have been prepared in accordance with the preparation and guidelines of IAS 34 “Interim Financial Reporting” which are endorsed and issued into effect by the FSC and do not include all of the information required by the Regulations and IFRS Accounting Standards, International Accounting Standards, IFRIC Interpretations and SIC Interpretations endorsed and issued into effect by the FSC. Hereinafter referred to as the “IFRS Accounting Standards endorsed by the FSC” for full annual consolidated financial statements.

(b) Basis of consolidation

1. List of subsidiaries in the consolidated financial statements:

Name of Investor	Name of Subsidiary	Principal Activity	Shareholding			Note
			March 31, 2026	December 31, 2025	March 31, 2025	
The Company	Quanta International Limited (QIL)	Holding company	100.00 %	100.00 %	100.00 %	
”	QCJ Co., Ltd. (QCJ)	After-sales service of computers	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
”	Quanta Computer Technology Investment Corp. (QCTI)	Investment company	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
”	Quanta Venture Capital Co., Ltd. (QVC)	Venture capital	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
”	Quanta Cloud Technology Inc. (QCTTW)	Sale of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
”	QMB Co., Ltd. (QMB)	Manufacture and sale of computers, peripherals and consumer products	100.00 %	100.00 %	100.00 %	Note 3 and Note 4

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Name of Investor	Name of Subsidiary	Principal Activity	Shareholding			Note
			March 31, 2026	December 31, 2025	March 31, 2025	
The Company	Quanta Cloud Technology Singapore Pte. Ltd. (QCTS)	Sale and after-sales service of computer peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	QADC Corporation (QADC)	Research and development of electronic products	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	QMH COMPUTER CO. LTD (QMH)	Manufacture and sale of computers, peripherals and consumer products	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	QSDC PTE. LTD. (QSDC)	Research and development of electronic products	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	QMHP CO. LTD (QMHP)	Providing accommodation services to domestic and foreign experts and workers in the industrial park.	100.00 %	100.00 %	- %	Note 3. Invested in December 2025.
The Company and QCTI	Quanta Storage Inc. (QSI)	Manufacture and sale of computer storage devices and peripherals	30.22 %	30.22 %	30.22 %	Note 1
"	RoyalTek Company Ltd. (RTK)	Design, manufacture, processing, distribute, and sale of satellite guided navigation systems and peripherals, navigated maps, and digital maps	37.57 %	37.57 %	37.57 %	Note 1
"	Quanta Microsystem Inc. (QMIT)	Electronic company	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
QIL	QCE Computer B.V. (QCE)	Sale and after-sales service of computer peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Access International Company (AIC)	Holding company	100.00 %	100.00 %	100.00 %	
"	Quanta ASIA LTD. (QAL)	Holding company	100.00 %	100.00 %	100.00 %	
"	Quanta Cloud Technology USA LLC (QCT-USA)	Sale of computer peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	QCT Inc. (QCTC)	Holding company	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
AIC	Quanta Manufacturing Incorporation (QMI)	Assembly and processing of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 4
"	Quanta Service Incorporation (QSI-USA)	After-sales service of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Quanta Computer USA, Inc. (QCA)	After-sales service of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	QCH, Inc., a Nevada corporation (QCH)	Sale of computers and peripherals	100.00 %	100.00 %	100.00 %	
QMI	Quanta Manufacturing Nashville LLC (QMN)	Assembly and processing of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 4
QSI-USA	Quanta Service Nashville LLC (QSN)	After-sales service of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
QCA	Quanta Computer Nashville LLC (QCN)	After-sales service of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
QCH	QCH Nashville LLC (QCHN)	Sale of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
QAL	Quanta Development Ltd. (QDL)	Holding company	100.00 %	100.00 %	100.00 %	
"	Quanta International Technology Ltd. (QIT)	Holding company	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Q_Bus International Limited (Q_Bus)	Holding company	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	QCT (Beijing) Co., Ltd. (QCTBJ)	Software technology development, advisory service, sale of servers and switches	- %	100.00 %	100.00 %	Note 3 and Note 4. Sold to QDL (HK) in March 2026.

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Name of Investor	Name of Subsidiary	Principal Activity	Shareholding			Note
			March 31, 2026	December 31, 2025	March 31, 2025	
QCTC	QCT Korea Inc. (QCTK)	Sale of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
QIT	QCG Computer GmbH (QCG)	Assembly and processing of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
QDL	Quanta Development (HONG KONG) Limited (QDL(HK))	Sale of computers and peripherals, and investment company	100.00 %	100.00 %	100.00 %	
QDL (HK)	Tech-Front (Shanghai) Computer Co., Ltd. (TFC)	Manufacture and sale of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Tech-Com (Shanghai) Computer Co., Ltd. (TCC)	Manufacture and sale of computers and peripherals	100.00 %	100.00 %	100.00 %	
"	Tech-Com (Chongqing) Computer Co., Ltd. (TCQ)	Manufacture and sale of computers, mobile communication, storage device, peripherals and accessories	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Tech-Trend (Shanghai) Computer Co., Ltd. (TTC)	Sale and after-sales service of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Tech-Lead (Shanghai) Computer Co., Ltd. (TLC)	After-sales service of computers	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Tech-Giant (Shanghai) Computer Co., Ltd. (TGC)	Manufacture and sale of computers and peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Tech-Wave (Shanghai) Logistics Co., Ltd. (TWW)	Warehousing services	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Tech-Full Computer (Changshu) Co., Ltd. (TNC)	Manufacture and sale of computers, mobile communication, storage device, peripherals and accessories	- %	100.00 %	100.00 %	Note 4. The liquidation process was completed in January 2026.
"	Tech-Front (Chongqing) Computer Co., Ltd. (TFQ)	Processing, manufacture and sale of computers	100.00 %	100.00 %	100.00 %	
"	Tech-Wave (Chongqing) Logistics Co., Ltd. (TWQ)	Warehousing services	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Kenseisha Shanghai P.M.P. Co., Ltd. (KSH)	Manufacture and sale of precision machinery, peripherals and metallic molds	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	CloudTech (Chongqing) Technology Co., Ltd. (YDCQ)	Sale of servers and switches	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Dragon Grand Group Limited (DGDT)	Investment company and trading company	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Dongguan Shuang-Ying Photoelectric Technology Co., Ltd. (DSY)	Manufacture and sale of optical equipment and electronic components	25.77 %	25.77 %	25.77 %	Note 2, Note 3 and Note 4
"	QCT (Beijing) Co., Ltd. (QCTBJ)	Software technology development, advisory service, sale of servers and switches	100.00 %	- %	- %	Note 3 and Note 4. Purchased from QAL in March 2026.
DGDT	Dragontech Metallic Industry Co., Ltd. (SJDT)	Manufacture and sale of computers and peripheral components	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
Q_Bus	Tech Chain Ltd. (TCL)	Holding company	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
TCL	Tech Chain (HONG KONG) Limited (TCLHK)	Holding company	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
TCLHK	Zhan Yun (Shanghai) Electronics Co., Ltd. (ZYES)	Manufacture and sale of computers and peripheral components	100.00 %	100.00 %	100.00 %	Note 3 and Note 4

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Name of Investor	Name of Subsidiary	Principal Activity	Shareholding			Note
			March 31, 2026	December 31, 2025	March 31, 2025	
QSI	Quanta Storage International Ltd. (QSI (CAYMAN))	Investment company	100.00 %	100.00 %	100.00 %	
"	Techman Electronics (Thailand) Co., Ltd. (TMT)	Manufacture and sale of computer peripheral storage devices and related components	100.00 %	100.00 %	- %	
"	TM SMT SDN. BHD. (JVM)	Sale of computer peripheral storage devices and related components	51.00 %	51.00 %	51.00 %	Note 3 and Note 4
"	Techman Robot Inc. (TRI)	Manufacture and sale of industrial collaborative robots	66.68 %	66.82 %	78.29 %	Note 5
"	Techman Electronics (Malaysia) SDN. BHD. (TMM)	Manufacture and sale of computer peripheral storage devices and related components	100.00 %	100.00 %	- %	Note 3 and Note 4. Invested in May 2025.
QSI (CAYMAN)	Quanta Storage (BVI) Ltd. (QSL (BVI))	Investment company	100.00 %	100.00 %	100.00 %	
QSL(BVI)	Quanta Storage Holding (HONG KONG) Ltd. (QHH)	Investment company	100.00 %	100.00 %	100.00 %	
"	Techman Electronic (HONG KONG) Limited (QIH)	Investment company	- %	- %	- %	Note 6
QHH	Quanta Storage (Shanghai) Ltd. (QSS)	Manufacture and sale of computer peripheral storage devices and related components	100.00 %	100.00 %	100.00 %	
TRI	Techman Robot (HONG KONG) Ltd. (TRH)	Investment company	100.00 %	100.00 %	100.00 %	
"	TECHMAN ROBOT GLOBAL INVESTMENT LIMITED (TRG)	Investment company	100.00 %	100.00 %	- %	
TRH	Techman Robot (Shanghai) Ltd. (TRS)	After-sales service and sale of industrial collaborative robots and related components	100.00 %	100.00 %	100.00 %	
TM SMT SDN.BHD. (JVM)	TM SMT (Thailand) COMPANY LIMITED (JVMT)	Sale of computer peripheral storage devices and related components	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
QMIT	Quanta Cloud Technology Japan Inc. (QCTJ)	Sale of computer peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
QCTTW	Quanta Cloud Technology Germany GmbH (QCTG)	Sale of computer peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4
"	Quanta Cloud Technology Japan K.K. (QCJK)	Sale of computer peripherals	100.00 %	100.00 %	100.00 %	Note 3 and Note 4

Note 1: Although the Company holds less than half of these companies' voting right, the Company has actual effect to lead these companies' activities, considering the fact that these companies' other equity shares are highly separated and considering the participation of other shareholders from previous shareholders' meetings. In addition, no other sign suggests that any collectively decision-making agreement between other shareholders exist. Therefore, the Company considers these companies as subsidiaries.

Note 2: Considering that the Group obtained a majority of board seats of DSY, which indicates the Group has an actual effect to lead the relevant activities. Therefore, the Group treats it as a subsidiary.

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Note 3: Companies are non-significant on March 31, 2026, and their financial statements have not been reviewed.

Note 4: Companies are non-significant on March 31, 2025, and their financial statements have not been reviewed.

Note 5: On September 26, 2025, TRI was listed on Taiwan Stock Exchange. Upon listing, the Group disposed 700 thousand shares and did not participate in the capital increase in proportion to its existing shareholding. As a result, the Group's shareholding ratio in TRI decreased to 66.68%.

Note 6: On November 29, 2024, the Board of Directors resolved to liquidate QIH, and the liquidation was completed on October 31, 2025.

2. Subsidiaries excluded from the consolidated financial statements: None.

(c) Income Taxes

The income tax expenses have been prepared and disclosed in accordance with paragraph B12 of International Financial Reporting Standards 34, Interim Reporting.

Income tax expenses for the period are measured by multiplying pre-tax income for the interim reporting period by the effective annual tax rate best estimated by the management. This should be recognized fully as tax expense for the current period.

(d) Employee Benefits

Pension cost for an interim period is calculated on a year-to-date basis by using the actuarially determined pension cost rate at the end of the prior financial year, adjusted for significant market fluctuations since that time and for significant curtailments, settlements, or other significant one-off events.

(5) Major Sources of Significant Accounting Assumptions, Judgments and Estimation Uncertainties

The preparation of the consolidated financial statements in conformity with the Regulations and IAS 34 "Interim Financial Reporting" endorsed by the FSC requires management to make judgments, and estimates about the future, including climate-related risks and opportunities, that affect the application of the accounting policies and the reported amount of assets, liabilities, income and expenses. Actual results may differ from these estimates.

In the preparation of the consolidated financial statements, the major sources of significant accounting judgments and estimation uncertainty are consistent with Note (5) of the consolidated financial statements for the year ended December 31, 2025.

(6) Explanation of Significant Accounts

Except as described in the following paragraphs, there were no significant differences with those disclosed in the consolidated financial statements for the year ended December 31, 2025. Please refer to Note (6) of the consolidated financial statements for the year ended December 31, 2025, for other related information.

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(a) Cash and cash equivalents

	March 31, 2026	December 31, 2025	March 31, 2025
Cash on hand, demand deposits and checking accounts	\$ 43,508,348	50,690,160	37,604,131
Foreign currency deposits	61,456,197	39,330,984	40,211,344
Time deposits	119,195,825	87,515,841	93,027,453
Short-term notes and bills	<u>2,572,858</u>	<u>772,896</u>	<u>902,688</u>
Cash and cash equivalents in consolidated statements of cash flows	<u><u>\$ 226,733,228</u></u>	<u><u>178,309,881</u></u>	<u><u>171,745,616</u></u>

The Group's currency risk and sensitivity analysis of financial assets and liabilities were disclosed in Note (6)(y).

(b) Financial assets and liabilities at fair value through profit or loss

	March 31, 2026	December 31, 2025	March 31, 2025
Financial assets mandatorily measured at fair value through profit or loss:			
Non-derivative financial assets			
Beneficiary certificates	\$ 36,703,672	20,747,268	38,925,199
Stocks in listed companies	854,870	916,760	264,003
Stocks in unlisted companies	134,422	132,048	139,507
Convertible corporate bonds listed on domestic markets	45,567	51,310	43,670
Derivative instruments not used for hedging			
Forward foreign exchange contracts	-	997	-
Financial liabilities designated at fair value through profit or loss:			
Embedded derivatives of convertible bonds	(613,908)	(710,899)	(506,469)
Held-for-trading financial liabilities:			
Forward foreign exchange contracts	<u>(40,732)</u>	<u>-</u>	<u>(6,060)</u>
Total	<u><u>\$ 37,083,891</u></u>	<u><u>21,137,484</u></u>	<u><u>38,859,850</u></u>
Current	\$ 34,480,097	18,782,974	36,972,148
Non-current	<u>2,603,794</u>	<u>2,354,510</u>	<u>1,887,702</u>
	<u><u>\$ 37,083,891</u></u>	<u><u>21,137,484</u></u>	<u><u>38,859,850</u></u>

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The Group held derivative financial instruments to hedge certain foreign exchange and interest risk the Group is exposed to, arising from its operating, financing and investing activities. The following derivative instruments that did not apply hedge accounting were classified as mandatorily measured at fair value through profit or loss and held-for-trading financial liabilities:

March 31, 2026				
	Amount		Currency	Maturity period
	(in thousands)			
Forward foreign exchange contracts				
US dollars sold	USD 105,126		USD against NTD	2026.04.08~2026.09.22
US dollars purchased	USD 14,000		NTD against USD	2026.04.09~2026.04.17
December 31, 2025				
	Amount		Currency	Maturity period
	(in thousands)			
Forward foreign exchange contracts				
US dollars sold	USD 43,000		USD against NTD	2026.01.08~2026.03.26
March 31, 2025				
	Amount		Currency	Maturity period
	(in thousands)			
Forward foreign exchange contracts				
US dollars sold	USD 32,000		USD against NTD	2025.04.17~2025.06.17
US dollars purchased	USD 15,000		NTD against USD	2025.04.08~2025.05.08

1.Convertible corporate bonds

- 1) As of March 31, 2026, December 31, 2025 and March 31, 2025, the Group held unsecured convertible corporate bonds issued by Yulon Finance Corporation, with a maturity date of November 20, 2028, and a conversion period from February 21, 2024 to November 20, 2028.
- 2) As of March 31, 2026, December 31, 2025 and March 31, 2025, the Group held unsecured convertible corporate bonds issued by WPG Holdings Limited, with a maturity date of November 11, 2027, and a conversion period from February 12, 2025 to November 11, 2027.
- 3) As of March 31, 2026 and December 31, 2025, the Group held unsecured convertible corporate bonds issued by Bafang Yunji International Co., Ltd, with a maturity date of October 9, 2028, and a conversion period from January 10, 2026 to October 9, 2028.

2.For price risk and fair value information, please refer to Note (6)(y).

3.The aforesaid financial assets were not pledged as collateral.

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(c) Financial assets at fair value through other comprehensive income

	March 31, 2026	December 31, 2025	March 31, 2025
Equity instruments at fair value through other comprehensive income			
Stocks in listed companies	\$ 8,767,444	8,989,292	6,771,218
Stocks in unlisted companies	643,749	652,080	639,005
Preferred stocks in unlisted companies	<u>5,792,402</u>	<u>4,636,222</u>	<u>1,658,578</u>
Total	<u><u>\$ 15,203,595</u></u>	<u><u>14,277,594</u></u>	<u><u>9,068,801</u></u>

1. Preferred stocks

The foreign unlisted preferred stocks held by the Group are non-cumulative, with voting rights, and convertible into common stocks. The conversion terms and agreed annual rates are stipulated in the respective investment agreements.

2. Equity investments at fair value through other comprehensive income

The Group designated the equity securities at fair value through other comprehensive income because these equity securities represent those investments that the Group intends to hold for long-term for strategic purposes.

There were no disposal of strategic investments and transfer of any cumulative gain or loss within equity relating to these investments as of March 31, 2026 and 2025.

3. For price risk and fair value information, please refer to Note (6)(y).

4. The aforesaid financial assets were not pledged as collateral.

(d) Financial assets measured at amortized cost

	March 31, 2026	December 31, 2025	March 31, 2025
Investments in debt instruments	\$ 4,852,823	2,831,407	1,649,222
Preferred stocks of domestic listed companies	<u>452,363</u>	<u>271,234</u>	<u>-</u>
Total	<u><u>\$ 5,305,186</u></u>	<u><u>3,102,641</u></u>	<u><u>1,649,222</u></u>

1. Investments in debt instruments measured at amortized cost

The Group has assessed that these financial assets are held to maturity to collect contractual cash flows, which consist solely of payments of principal and interest on principal amount outstanding. Therefore, these investments were classified as financial assets measured at amortized cost.

2. For the first quarter of 2026 and for the year of 2025, the Group purchased Taishin Financial Holding Co., Ltd. Class I Preferred Shares with a face value of \$485,280 and a dividend yield of 1.665%.

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3. For the year of 2025, the Group purchased AAA rated corporate bonds issued by Fubon Life Insurance Co. Ltd., with a face value of \$600,000. The coupon rate and the effective interest rate were both 3.70%.

(e) Accounts receivable

	March 31, 2026	December 31, 2025	March 31, 2025
Accounts receivable-measured as amortized cost	\$ 574,690,016	427,873,157	395,151,951
Accounts receivable-fair value through other comprehensive income	84,916,020	67,682,959	56,545,052
Less: Allowance for impairment	<u>(672,787)</u>	<u>(587,440)</u>	<u>(555,346)</u>
Net	<u><u>\$ 658,933,249</u></u>	<u><u>494,968,676</u></u>	<u><u>451,141,657</u></u>

The Group has assessed a portion of its accounts receivable that was held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets. Therefore, such accounts receivable was measured at fair value through other comprehensive income.

The Group applies the simplified approach to provide for its expected credit loss, i.e. the use of lifetime expected loss provision for all receivables. To measure the expected credit loss, trade receivables have been grouped based on shared credit risk characteristics and the days past due, as well as incorporated forward looking information. The loss allowance provisions were determined as follows:

	March 31, 2026		
	Accounts receivable carrying amount	Weighted- average expected credit loss rate	Allowance lifetime expected credit loss
Current	\$ 647,273,955	0.04%	257,845
1 to 60 days past due	11,715,627	1.80%	211,205
61 to 120 days past due	404,308	20.92%	84,563
More than 121 days past due	<u>212,146</u>	56.18%	<u>119,174</u>
	<u><u>\$ 659,606,036</u></u>		<u><u>672,787</u></u>

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	December 31, 2025		
	Accounts receivable carrying amount	Weighted- average expected credit loss rate	Allowance lifetime expected credit loss
Current	\$ 485,115,680	0.04%	209,278
1 to 60 days past due	9,987,528	2.37%	236,379
61 to 120 days past due	366,688	16.67%	61,128
More than 121 days past due	86,220	93.55%	80,655
	\$ 495,556,116		587,440

	March 31, 2025		
	Accounts receivable carrying amount	Weighted- average expected credit loss rate	Allowance lifetime expected credit loss
Current	\$ 436,389,603	0.05%	206,427
1 to 60 days past due	14,857,795	1.60%	237,605
61 to 120 days past due	305,481	12.77%	39,012
More than 121 days past due	144,124	50.17%	72,302
	\$ 451,697,003		555,346

The movements in the allowance for impairment for accounts receivable were as follows:

	For the Three Months Ended March 31,	
	2026	2025
Balance as of January 1	\$ 587,440	594,170
Impairment loss recognized(reversed)	82,759	(40,755)
Effect of movements in exchange rate	2,588	1,931
Balance as of March 31	\$ 672,787	555,346

The aforesaid financial assets of the Group were not pledged as collateral or borrowings.

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The Group signed the accounts receivable factoring agreements without recourse with different financial institutions. According to the agreements, the Group does not have the responsibility to assume the default risk of the transferred trade receivables, thus is eligible for derecognizing the financial assets. The amounts receivable from financial institutions were recognized upon the derecognition of those trade receivables. The relevant information of the unexpired accounts receivable at the reporting date was as follows:

Unit: in thousands

March 31, 2026						
Purchaser	Amount Derecognized	Credit Unused	Credit Advanced	Amount Recognized in Other Receivables	Range of Interest Rate	Significant Transferring Terms
Financial Institutions	\$ <u>63,990,000</u>	US\$ <u>2,650,000</u>	US\$ <u>2,000,000</u>	<u>-</u>	3.99%~4.13%	None
Financial Institutions	\$ <u>80,080</u>	US\$ <u>4,040</u>	US\$ <u>2,503</u>	<u>-</u>	1.60%~2.60%	None
December 31, 2025						
Purchaser	Amount Derecognized	Credit Unused	Credit Advanced	Amount Recognized in Other Receivables	Range of Interest Rate	Significant Transferring Terms
Financial Institutions	\$ <u>62,860,000</u>	US\$ <u>2,150,000</u>	US\$ <u>2,000,000</u>	<u>-</u>	4.11%~4.38%	None
Financial Institutions	\$ <u>46,532</u>	US\$ <u>3,451</u>	US\$ <u>1,480</u>	<u>-</u>	1.30%~2.60%	None
March 31, 2025						
Purchaser	Amount Derecognized	Credit Unused	Credit Advanced	Amount Recognized in Other Receivables	Range of Interest Rate	Significant Transferring Terms
Financial Institutions	\$ <u>-</u>	US\$ <u>1,700,000</u>	US\$ <u>-</u>	<u>-</u>	None	None
Financial Institutions	\$ <u>-</u>	US\$ <u>2,908</u>	US\$ <u>-</u>	<u>-</u>	None	None

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The Group signed the accounts receivable factoring agreements with different financial institutions. According to the agreements, the Group bears almost all risks and rewards, and thus is ineligible for derecognizing the financial assets. The carrying amounts of the accounts and notes receivable factored but yet derecognized at the reporting date were as follows:

Unit : in thousands

March 31, 2026					
Purchaser	Amount transferred but has yet to be derecognized	Credit Line	Credit Advanced (accounted under short-term borrowings)	Range of Interest Rate	Collateral
Financial Institutions	\$ <u>-</u>	US\$ <u>250,000</u>	US\$ <u>-</u>	None	None
Financial Institutions	\$ <u>2,377</u>	RMB <u>514</u>	RMB <u>514</u>	2.25%~2.45%	None

December 31, 2025					
Purchaser	Amount transferred but has yet to be derecognized	Credit Line	Credit Advanced (accounted under short-term borrowings)	Range of Interest Rate	Collateral
Financial Institutions	\$ <u>-</u>	US\$ <u>250,000</u>	US\$ <u>-</u>	None	None
Financial Institutions	\$ <u>50,417</u>	RMB <u>11,274</u>	RMB <u>11,274</u>	1.35%~2.45%	None

March 31, 2025					
Purchaser	Amount transferred but has yet to be derecognized	Credit Line	Credit Advanced (accounted under short-term borrowings)	Range of Interest Rate	Collateral
Financial Institutions	\$ <u>-</u>	US\$ <u>250,000</u>	US\$ <u>-</u>	None	None

(f) Other receivables

	March 31, 2026	December 31, 2025	March 31, 2025
Other receivables	\$ 1,898,985	1,713,632	1,399,984
Less: Allowance for impairment	(10,979)	(27,335)	(22,670)
	<u>\$ 1,888,006</u>	<u>1,686,297</u>	<u>1,377,314</u>

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As of March 31, 2026, December 31, 2025, and March 31, 2025, the aging analysis of other receivables, which were past due, were as follows:

	March 31, 2026	December 31, 2025	March 31, 2025
1 to 60 days past due	\$ 69,606	5,352	130,629
61 to 120 days past due	12,749	13,051	30,519
More than 121 days past due	18,261	29,783	7,361
Total	\$ 100,616	48,186	168,509

The movements in the allowance for impairment for other receivables were as follows:

	For the Three Months Ended March 31, 2026	2025
Balance as of January 1	\$ 27,335	28,962
Impairment loss reversed	(16,356)	(6,292)
Balance as of March 31	\$ 10,979	22,670

The aforesaid financial assets were not pledged as collateral.

(g) Inventories

	March 31, 2026	December 31, 2025	March 31, 2025
Finished goods	\$ 197,540,268	127,509,787	98,842,997
Work-in-process	37,708,671	4,346,267	17,065,165
Raw materials	420,392,118	376,392,165	156,586,969
Inventories in-transit	18,245,018	4,697,579	4,652,530
Total	\$ 673,886,075	512,945,798	277,147,661

For the three months ended March 31, 2026 and 2025, the details of operating costs were as follows:

	For the Three Months Ended March 31, 2026	2025
Cost of goods sold	\$ 764,488,523	445,193,043
Net amount of inventory obsolescence and disposal of scrapping	1,098,012	1,536,528
Loss of inventory valuation and obsolescence recognized	4,865,267	537,487
Others	72,222	(77,723)
Total	\$ 770,524,024	447,189,335

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The write-down of inventory valuation was due to obsolescence or being outdated resulted in the net realizable value of inventory to be lower than the cost; hence, the write-down was recognized as operation costs. In addition, the factor leading to the net realizable value of inventories lower than the cost no longer exist, resulting in the increase in net realizable value to be recognized as reversal of inventories write-down, recognized as a deduction from operating costs.

The aforesaid inventories were not pledged as collateral.

(h) Investments accounted for using equity method

The Group's financial information for investments accounted for using equity method that are individually insignificant was as follows:

	<u>March 31,</u> <u>2026</u>	<u>December 31,</u> <u>2025</u>	<u>March 31,</u> <u>2025</u>
Carrying amount of individually insignificant associates' equity	\$ <u>209,306</u>	<u>216,884</u>	<u>421,806</u>
	<u>For the Three Months Ended March 31,</u>		
	<u>2026</u> <u>2025</u>		
Attributable to the Group:			
Loss from continuing operation	\$	(5,572)	(13,766)
Other comprehensive income		<u>885</u>	<u>1,284</u>
Total comprehensive loss	\$	<u>(4,687)</u>	<u>(12,482)</u>

The aforesaid investments accounted for using equity method were not pledged as collateral.

Investments were accounted for using equity method, and the share of profit or loss and other comprehensive income of those investments were calculated based on the financial statements that have not been reviewed.

(i) Property, plant and equipment

The movements in the cost, depreciation, and impairment loss of the property, plant and equipment of the Group for the three months ended March 31, 2026 and 2025, were as follows:

	<u>Land</u>	<u>Buildings</u>	<u>Machinery and miscellaneous equipment</u>	<u>Equipment to be inspected and construction in progress</u>	<u>Total</u>
Cost or deemed cost:					
Balance as of January 1, 2026	\$ 9,167,681	39,586,469	83,677,941	4,646,703	137,078,794
Additions	-	123,329	3,712,500	4,285,716	8,121,545
Disposal and obsolescence	-	(100)	(781,682)	-	(781,782)
Reclassification and effect of movements in exchange rate	<u>23,999</u>	<u>780,257</u>	<u>1,919,622</u>	<u>(816,036)</u>	<u>1,907,842</u>
Balance as of March 31, 2026	\$ <u>9,191,680</u>	<u>40,489,955</u>	<u>88,528,381</u>	<u>8,116,383</u>	<u>146,326,399</u>

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	<u>Land</u>	<u>Buildings</u>	<u>Machinery and miscellaneous equipment</u>	<u>Equipment to be inspected and construction in progress</u>	<u>Total</u>
Balance as of January 1, 2025	\$ 9,225,239	36,017,637	78,722,251	6,754,175	130,719,302
Additions	-	131,316	1,003,372	3,246,045	4,380,733
Disposal and obsolescence	-	(100)	(1,683,116)	-	(1,683,216)
Reclassification and effect of movements in exchange rate	17,840	620,500	1,144,253	(241,884)	1,540,709
Balance as of March 31, 2025	<u>\$ 9,243,079</u>	<u>36,769,353</u>	<u>79,186,760</u>	<u>9,758,336</u>	<u>134,957,528</u>
Depreciation and impairment loss:					
Balance as of January 1, 2026	\$ -	16,632,351	47,476,829	-	64,109,180
Depreciation for the period	-	432,062	2,266,541	-	2,698,603
Disposal and obsolescence	-	(100)	(675,523)	-	(675,623)
Effect of movements in exchange rate	-	230,784	677,675	-	908,459
Balance as of March 31, 2026	<u>\$ -</u>	<u>17,295,097</u>	<u>49,745,522</u>	<u>-</u>	<u>67,040,619</u>
Balance as of January 1, 2025	\$ -	15,667,052	47,991,597	-	63,658,649
Depreciation for the period	-	334,929	1,911,172	-	2,246,101
Impairment loss reversed	-	-	(1,111)	-	(1,111)
Disposal and obsolescence	-	(100)	(1,478,946)	-	(1,479,046)
Effect of movements in exchange rate	-	191,334	478,884	-	670,218
Balance as of March 31, 2025	<u>\$ -</u>	<u>16,193,215</u>	<u>48,901,596</u>	<u>-</u>	<u>65,094,811</u>
Carrying amount:					
Balance as of January 1, 2026	<u>\$ 9,167,681</u>	<u>22,954,118</u>	<u>36,201,112</u>	<u>4,646,703</u>	<u>72,969,614</u>
Balance as of March 31, 2026	<u>\$ 9,191,680</u>	<u>23,194,858</u>	<u>38,782,859</u>	<u>8,116,383</u>	<u>79,285,780</u>
Balance as of January 1, 2025	<u>\$ 9,225,239</u>	<u>20,350,585</u>	<u>30,730,654</u>	<u>6,754,175</u>	<u>67,060,653</u>
Balance as of March 31, 2025	<u>\$ 9,243,079</u>	<u>20,576,138</u>	<u>30,285,164</u>	<u>9,758,336</u>	<u>69,862,717</u>

As of March 31, 2026, December 31, 2025, and March 31, 2025, the aforesaid property, plant and equipment were not pledged as collateral.

The Group has been building new factories and expanding production lines in various operating entities since 2021. Since relevant civil engineering and installation projects were still in progress as of March 31, 2026, they were accounted for as construction in progress and equipment to be inspected. Please refer to Note(9)(a) for details of significant unrecognized contractual commitments associated with acquisition of property, plant and equipment.

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(j) Right-of-use assets

The Group leases assets including land, buildings, machinery and equipment, and transportation equipment. The movements in right-of-use assets were as follows:

	<u>Land</u>	<u>Buildings</u>	<u>Machinery and equipment</u>	<u>Transportation equipment</u>	<u>Total</u>
Cost:					
Balance as of January 1, 2026	\$ 1,148,026	12,658,388	65,773	-	13,872,187
Additions	-	2,736,317	-	-	2,736,317
Reductions	-	(308,677)	-	-	(308,677)
Effect of movements in exchange rate	6,927	243,573	1,182	-	251,682
Balance as of March 31, 2026	<u>\$ 1,154,953</u>	<u>15,329,601</u>	<u>66,955</u>	<u>-</u>	<u>16,551,509</u>
Balance as of January 1, 2025	\$ 1,182,501	9,884,568	68,608	495	11,136,172
Additions	-	702,673	-	-	702,673
Reductions	-	(10,174)	-	-	(10,174)
Effect of movements in exchange rate	28,776	122,894	879	-	152,549
Balance as of March 31, 2025	<u>\$ 1,211,277</u>	<u>10,699,961</u>	<u>69,487</u>	<u>495</u>	<u>11,981,220</u>
Depreciation and impairment loss:					
Balance as of January 1, 2026	\$ 160,733	5,956,165	35,208	-	6,152,106
Depreciation for the period	8,080	543,188	6,180	-	557,448
Reductions	-	(308,677)	-	-	(308,677)
Effect of movements in exchange rate	(10,691)	115,044	706	-	105,059
Balance as of March 31, 2026	<u>\$ 158,122</u>	<u>6,305,720</u>	<u>42,094</u>	<u>-</u>	<u>6,505,936</u>
Balance as of January 1, 2025	\$ 119,871	5,568,893	11,096	357	5,700,217
Depreciation for the period	8,356	409,189	6,428	42	424,015
Reductions	-	(10,174)	-	-	(10,174)
Effect of movements in exchange rate	15,396	70,307	203	-	85,906
Balance as of March 31, 2025	<u>\$ 143,623</u>	<u>6,038,215</u>	<u>17,727</u>	<u>399</u>	<u>6,199,964</u>
Carrying amount:					
Balance as of January 1, 2026	<u>\$ 987,293</u>	<u>6,702,223</u>	<u>30,565</u>	<u>-</u>	<u>7,720,081</u>
Balance as of March 31, 2026	<u>\$ 996,831</u>	<u>9,023,881</u>	<u>24,861</u>	<u>-</u>	<u>10,045,573</u>
Balance as of January 1, 2025	<u>\$ 1,062,630</u>	<u>4,315,675</u>	<u>57,512</u>	<u>138</u>	<u>5,435,955</u>
Balance as of March 31, 2025	<u>\$ 1,067,654</u>	<u>4,661,746</u>	<u>51,760</u>	<u>96</u>	<u>5,781,256</u>

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Please refer to Note(9)(a) for details of significant unrecognized contractual commitments associated with acquisition of right-of-use assets.

(k) Investment property

Investment property comprises factories that are leased to third parties under operating leases, as well as properties that are owned by the Group. The rent income of the leases of investment properties is fixed.

	<u>Land and land improvement</u>	<u>Buildings</u>	<u>Total</u>
Carrying amount:			
Balance as of January 1, 2026	\$ <u>52,664</u>	<u>13,953</u>	<u>66,617</u>
Balance as of March 31, 2026	\$ <u>52,664</u>	<u>13,771</u>	<u>66,435</u>
Balance as of January 1, 2025	\$ <u>52,664</u>	<u>14,683</u>	<u>67,347</u>
Balance as of March 31, 2025	\$ <u>52,664</u>	<u>14,501</u>	<u>67,165</u>

There were no significant additions, disposals, or recognition and reversal of impairment loss of investment property for the three months ended March 31, 2026 and 2025. Please refer to Note (12) for depreciation amounts this period. Please refer to Note (6)(k) of the consolidated financial statements for the year ended December 31, 2025, for other related information.

The fair value of the investment property was not significantly different from those disclosed in Note (6)(k) of the consolidated financial statements for the year ended December 31, 2025.

The aforesaid investment properties were not pledged as collateral.

(l) Intangible assets

	<u>Software and trademark</u>
Carrying amount:	
Balance as of January 1, 2026	\$ <u>535,194</u>
Balance as of March 31, 2026	\$ <u>549,975</u>
Balance as of January 1, 2025	\$ <u>498,516</u>
Balance as of March 31, 2025	\$ <u>496,587</u>

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There were no significant additions, disposals, or recognition and reversal of impairment loss of intangible assets for the three months ended March 31, 2026 and 2025. Please refer to Note (12) for amortization amounts this period. Please refer to Note (6)(l) of the consolidated financial statements for the year ended December 31, 2025, for other related information.

(m) Short-term borrowings

	<u>March 31,</u> <u>2026</u>	<u>December 31,</u> <u>2025</u>	<u>March 31,</u> <u>2025</u>
Credit loan	\$ 328,400,514	241,723,994	233,994,764
Range of interest rates	<u>1.06%~4.73%</u>	<u>0.67%~4.58%</u>	<u>3.20%~5.69%</u>

The Group's currency risk, interest risk and sensitivity analysis of financial assets and liabilities were disclosed in Note (6)(y).

The Group has agreements with different financial institutions to offset its financial assets and liabilities. The following table lists the netting information of these financial assets and liabilities as of March 31, 2026, December 31, 2025, and March 31, 2025:

March 31, 2026			
Property	Financial assets/ liabilities recognized	Financial assets/ liabilities offset in the statement of financial position	Net financial assets/ liabilities reported in the statement of financial position
Bank deposits / Bank borrowings	\$ 81,122,832	81,122,832	-
December 31, 2025			
Property	Financial assets/ liabilities recognized	Financial assets/ liabilities offset in the statement of financial position	Net financial assets/ liabilities reported in the statement of financial position
Bank deposits / Bank borrowings	\$ 81,468,655	81,468,655	-
March 31, 2025			
Property	Financial assets/ liabilities recognized	Financial assets/ liabilities offset in the statement of financial position	Net financial assets/ liabilities reported in the statement of financial position
Bank deposits / Bank borrowings	\$ 34,908,860	34,908,860	-

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(n) Long-term borrowings

Names of financial institution	Amount			Collateral or Guarantee
	Non-current portion	Current portion	Total	
March 31, 2026				
Syndicated agreement with Mega International Commercial Bank and other 18 participating banks (ix)	\$ 63,990,000	-	63,990,000	None
Syndicated agreement with Taipei Fubon Bank and other 22 participating banks (i)	-	31,995,000	31,995,000	None
National development agreement with Taishin International Bank (ii)	-	62,500	62,500	None
National development agreement with Mega International Commercial Bank (iii)	-	79,592	79,592	None
National development agreement with Taipei Fubon Bank (iv)	-	104,166	104,166	None
National development agreement with E.SUN Commercial Bank (v)	-	125,000	125,000	None
National development agreement with CTBC Bank (vi)	-	62,500	62,500	None
CTBC Bank (viii)	92,407	-	92,407	None
Total	<u>\$ 64,082,407</u>	<u>32,428,758</u>	<u>96,511,165</u>	
December 31, 2025				
Syndicated agreement with Taipei Fubon Bank and other 22 participating banks (i)	\$ -	15,715,000	15,715,000	None
National development agreement with Taishin International Bank (ii)	-	156,250	156,250	None
National development agreement with Mega International Commercial Bank (iii)	-	159,184	159,184	None
National development agreement with Taipei Fubon Bank (iv)	-	197,916	197,916	None
National development agreement with E.SUN Commercial Bank (v)	-	250,000	250,000	None
CTBC Bank (vi)	-	125,000	125,000	None
Total	<u>\$ -</u>	<u>16,603,350</u>	<u>16,603,350</u>	

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Names of financial institution	Amount			Collateral or Guarantee
	Non-current portion	Current portion	Total	
March 31, 2025				
Syndicated agreement with Mega International Commercial Bank and other 17 participating banks (vii)	\$ -	5,644,850	5,644,850	None
Syndicated agreement with Taipei Fubon Bank and other 22 participating banks (i)	11,621,750	-	11,621,750	None
National development agreement with Taishin International Bank (ii)	62,500	375,000	437,500	None
National development agreement with Mega International Commercial Bank (iii)	79,592	318,367	397,959	None
National development agreement with Taipei Fubon Bank (iv)	104,166	375,000	479,166	None
National development agreement with E.SUN Commercial Bank (v)	125,000	500,000	625,000	None
National development agreement with CTBC Bank (vi)	62,500	250,000	312,500	None
Total	\$ 12,055,508	7,463,217	19,518,725	

- (i) Effective August 2023, the Company and its subsidiary, QIL, entered into syndicated credit agreements with Taipei Fubon Bank and other 22 participating financial institutions. The agreements included two tranches, A and B. In tranche A, the term facility and revolving facility available to the Company amounted to USD1,000,000 thousand. In tranche B, the term facility and revolving facility available to QIL amounted to USD500,000 thousand. The agreement amounted to USD1,500,000 thousand with floating interest rate for a period of 3 years. The borrowing duration is allowed to be extended for 2 years, but the extension is limited to one time only. According to the agreements, the Company takes joint and several liabilities for QIL's repayments.
- (ii) Effective June 2019, the Company entered into credit agreement with Taishin International Bank. The loan facility of agreement amounted to \$1,500,000 with floating interest rates for a period of 7 years. The agreement started on June 4, 2019.
- (iii) Effective June 2019, the Company entered into credit agreement with Mega International Commercial Bank. The loan facility of agreement amounted to \$1,300,000 with floating interest rates for a period of 7 years. The agreement started on June 19, 2019.
- (iv) Effective June 2019, the Company entered into credit agreement with Taipei Fubon Bank. The loan facility of agreement amounted to \$1,500,000 with floating interest rates for a period of 7 years. The agreement started on June 4, 2019.

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- (v) Effective June 2019, the Company entered into credit agreement with E.SUN Commercial Bank. The loan facility of agreement amounted to \$2,000,000 with floating interest rates for a period of 7 years. The agreement started on July 3, 2019.
- (vi) Effective June 2019, the Company entered into credit agreement with CTBC Bank. The loan facility of agreement amounted to \$1,000,000 with floating interest rates for a period of 7 years. The agreement started on July 4, 2019.
- (vii) Effective October 2020, the Company and its subsidiary, QIL, entered into syndicated credit agreement with Mega International Commercial Bank and other 17 participating financial institutions. Under which, the Company and QIL will share the term facility and revolving facility amounted to USD1,200,000 thousand with floating interest rates for a period of 3 years. The borrowing duration is extended for 2 years with Mega International Commercial Bank and other 17 participating financial institutions in November 2023. According to the agreements, the Company takes joint and several liabilities for QIL's repayments. The loan was settled upon maturity.
- (viii) Effective in 2026, QMHP entered into a credit agreement with CTBC Bank. The loan facility of agreement amounted to VND400,000,000 thousand, with a term of three years from the date of first drawdown, which was February 13, 2026. The interest rate on the loan was 7.5000%.
- (ix) Effective December 2025, the Company and its subsidiary, QIL, entered into syndicated credit agreements with Mega International Commercial Bank and other 18 participating financial institutions. The agreements include two tranches, A and B. In tranche A, the term facility and revolving facility available to the Company amounted to USD600,000 thousand. In tranche B, the term facility and revolving facility available to QIL amounted to USD1,400,000 thousand. The agreement amounted to USD2,000,000 thousand with floating interest for a period of 3 years. The borrowing duration is allowed to be extended for 2 years, but the extension is limited to one time only. According to the agreements, the Company takes joint and several liabilities for QIL's repayments.
- (x) Under the agreements with QIL, the Company shall adhere to certain financial provisions such as consolidated current ratios, leverage ratios, interest coverage ratios and tangible net worth at the end dates of the semi-annual and the annual accounting periods (June 30 and December 31). Otherwise, the borrowings will be considered due and payable immediately. As of March 31, 2026, the Company was in compliance with the above financial covenants. Moreover, the Group expects to comply with the covenants at the end dates of the semi-annual and the annual accounting periods for at least 12 months after the reporting date.
- (xi) The interest rates for all aforementioned credit facilities were 0.7200%~7.5000%, 0.6700%~4.5800% and 0.7200%~5.0717% as of March 31, 2026, December 31, 2025, and March 31, 2025, respectively.
- (xii) The Group's currency risk, interest risk and sensitivity analysis of financial assets and liabilities were disclosed in Note (6)(y).

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(o) Bonds Payable

The details of the Group's unsecured convertible bonds were as follows:

	March 31, 2026	December 31, 2025	March 31, 2025
Total convertible bonds issued	\$ 62,279,000	62,279,000	32,055,000
Unamortized discounted bonds payable	(5,381,213)	(5,700,068)	(3,108,109)
Cumulative converted amount	-	-	-
Convertible bonds issued balance at year-end	<u>\$ 56,897,787</u>	<u>56,578,932</u>	<u>28,946,891</u>
Embedded derivative – call and put options (recorded as financial liabilities at fair value through profit or loss)	<u>\$ 613,908</u>	<u>710,899</u>	<u>506,469</u>
Equity component – conversion options (recorded as capital surplus – stock options)	<u>\$ 5,636,105</u>	<u>5,636,105</u>	<u>2,887,623</u>

The amounts recognized in profit or loss from convertible bonds were as follows:

	For the Three Months Ended March 31, 2026	2025
Embedded derivative - gains and losses of re-measurement of call and put options based on fair value (recorded as other gains and losses)	<u>\$ 96,991</u>	<u>(134,631)</u>
Interest expense	<u>\$ 318,855</u>	<u>162,652</u>

The Company's fifth five-year unsecured convertible bonds were listed on the Singapore Exchange on October 3, 2025, amounting to USD1,000,000 thousand, at zero coupon rate, with the maturity date set on October 2, 2030, based on a resolution approved during its Board of Directors held on August 12, 2025, with approval No.1140358182 from the Financial Supervisory Commission on September 23, 2025. The bonds will be converted to NTD at a fixed rate of 30.224. Upon maturity, repurchase, or early redemption, the fixed NTD amount will be converted to an equivalent amount in USD for payment using the prevailing exchange rate at the time of transaction.

Except for early redemption, repurchases and cancellations, exercise of conversion rights by the bondholders and the cessation of conversion period, from the day following the three months after the issuance of the bonds to (1) ten days before the maturity date or (2) the fifth business day prior to the repurchase date if the bondholders exercise their put option or the date of early redemption of the bonds (excluding the maturity date), the bondholders may request the issuing company to convert the bonds into shares of common stocks in accordance with the provisions of the relevant laws and the Trust Deed.

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The convertible bonds may be redeemed in advance by the Company from the day following the third anniversary of the issuance until the maturity date. If the closing price of the Company's common stock on the Taiwan Stock Exchange reaches 130% of the amount obtained by multiplying the amount of early redemption using the conversion price, and dividing it by the face value for twenty trading days out of thirty consecutive business days (adjusted for any ex-rights or ex-dividend events), the Company may redeem all or part of the bonds at the early redemption amount.

Except for the following circumstances, bondholders may not request the Company to redeem all or part of their bonds before maturity: (1) Unless the bonds have been redeemed early, repurchased and canceled, or converted, bondholders may request the Company to redeem all or part of the bonds at face value, plus interest compensation, without an annual rate, calculated on a semi annual basis (hereinafter referred to as the "early redemption amount"), on the third anniversary of the bond issuance; (2) If the Company's common stock is delisted from the Taiwan Stock Exchange, bondholders may request the Company to redeem all or part of the bonds at the early redemption amount; (3) If a change of control event as defined in the Trust Deed occurs, bondholders may request the Company to redeem all or part of the bonds at the early redemption amount.

The conversion price of the bonds was set at a premium based on the closing price of the Company's common stock on the Taiwan Stock Exchange on the pricing date, September 23, 2025, with the initial conversion price at issuance of NT\$401.1. The conversion price shall be adjusted in accordance with the relevant antidilution provisions of the contract after the issuance of the bonds.

The Company's fourth five-year unsecured convertible bonds were listed on the Singapore Exchange on September 17, 2024, amounting to USD1,000,000 thousand, at zero coupon rate, with the maturity date set on September 16, 2029, based on a resolution approved during its Board of Directors held on August 9, 2024, with approval No.1130355869 from the Financial Supervisory Commission on September 9, 2024. The bonds will be converted to NTD at a fixed rate of 32.055. Upon maturity, repurchase, or early redemption, the fixed NTD amount will be converted to an equivalent amount in USD for payment using the prevailing exchange rate at the time of transaction.

Except for early redemption, repurchases and cancellations, exercise of conversion rights by the bondholders and the cessation of conversion period, from the day following the three months after the issuance of the bonds to (1) ten days before the maturity date or (2) the fifth business day prior to the repurchase date if the bondholders exercise their put option or the date of early redemption of the bonds (excluding the maturity date), the bondholders may request the issuing company to convert the bonds into shares of common stocks in accordance with the provisions of the relevant laws and the Trust Deed.

The convertible bonds may be redeemed in advance by the Company from the day following the third anniversary of the issuance until the maturity date. If the closing price of the Company's common stock on the Taiwan Stock Exchange reaches 130% of the amount obtained by multiplying the amount of early redemption using the conversion price, and dividing it by the face value for twenty trading days out of thirty consecutive business days (adjusted for any ex-rights or ex-dividend events), the Company may redeem all or part of the bonds at the early redemption amount.

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Except for the following circumstances, bondholders may not request the Company to redeem all or part of their bonds before maturity: (1) Unless the bonds have been redeemed early, repurchased and canceled, or converted, bondholders may request the Company to redeem all or part of the bonds at face value, plus interest compensation, without an annual rate, calculated on a semi-annual basis (hereinafter referred to as the “early redemption amount”), on the third anniversary of the bond issuance; (2) If the Company’s common stock is delisted from the Taiwan Stock Exchange, bondholders may request the Company to redeem all or part of the bonds at the early redemption amount; (3) If a change of control event as defined in the Trust Deed occurs, bondholders may request the Company to redeem all or part of the bonds at the early redemption amount.

The conversion price of the bonds was set at a premium based on the closing price of the Company’s common stock on the Taiwan Stock Exchange on the pricing date, September 9, 2024, with the initial conversion price at issuance of NT\$356.25. According to the record date resolved by the Board of Directors on February 27, 2025, the conversion price has been changed from NT\$356.25 to NT\$339.67 on July 6, 2025. The conversion price shall be adjusted in accordance with the relevant antidilution provisions of the contract after the issuance of the bonds.

(p) Lease liabilities

The carrying amount of the Group’s lease liabilities were as follows:

	March 31, 2026	December 31, 2025	March 31, 2025
Current	<u>\$ 2,038,953</u>	<u>1,782,693</u>	<u>1,520,032</u>
Non-current	<u>\$ 8,188,745</u>	<u>5,807,293</u>	<u>3,639,948</u>

For the maturity analysis, please refer to Note (6)(y).

The amounts recognized in profit or loss were as follows:

	For the Three Months Ended March 31, 2026	2025
Interest expenses on lease liabilities	<u>\$ 83,919</u>	<u>37,429</u>
Variable lease payments not included in the measurement of lease liabilities	<u>\$ 127,732</u>	<u>34,230</u>
Expenses relating to short-term leases	<u>\$ 251,183</u>	<u>138,120</u>

The amounts recognized in the statement of cash flows for the Group were as follows:

	For the Three Months Ended March 31, 2026	2025
Total cash outflow for leases	<u>\$ 891,299</u>	<u>593,512</u>

1. Land and Building leases

The Group leases land and buildings for its office space, warehouse and staff dormitory. The leases typically run for a period of 1 to 10 years. Some leases include an option to renew the lease for an additional period of the same duration after the end of the contract term.

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2. Other leases

The Group leases machinery and office equipment, which are short-term items. The Group has elected not to recognize right-of-use assets and lease liabilities for these leases.

(q) Employee benefits

1. Defined benefit plans

In prior fiscal year, there was no material volatility of the market, reimbursement and settlement or other material one-time events. As a result, pension cost in the accompanying interim financial statements is measured and disclosed as of December 31, 2025 and 2024.

The details of the Group's expenses were as follows:

	For the Three Months Ended March 31,	
	2026	2025
Operating costs	\$ 181	181
Selling expenses	132	124
General and administrative expenses	965	1,032
Research and development expenses	481	645
	\$ 1,759	1,982

2. Defined contribution plans

The Group's pension expenses under the pension plan cost to the Bureau of Labor Insurance were as follows:

	For the Three Months Ended March 31,	
	2026	2025
Operating costs	\$ 37,316	31,073
Selling expenses	10,372	9,091
General and administrative expenses	25,612	23,145
Research and development expenses	128,686	108,153
Total	\$ 201,986	171,462

The Group allocates 6% of each employee's monthly wages to the labor pension personal account at the Bureau of the Labor Insurance in accordance with the provisions of the Labor Pension Act. Under this defined contribution plan, the Group allocates a fixed amount to the Bureau of the Labor Insurance without additional legal or constructive obligations.

3. The Group's pension expenses of foreign subsidiaries allocated in accordance with local laws and regulations were \$674,531 and \$645,693 for the three months ended March 31, 2026 and 2025.

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(r) Income taxes

The details of the Group's income tax expense were as follows:

	For the Three Months Ended March 31,	
	2026	2025
Current tax expense		
Current period	\$ 4,871,420	3,800,570
Adjustment for prior periods	<u>(1,817,833)</u>	<u>(20)</u>
	<u>3,053,587</u>	<u>3,800,550</u>
Deferred tax expense		
Origination and reversal of temporary differences	<u>176,940</u>	<u>1,771,604</u>
Income tax expense from continuing operations	<u><u>\$ 3,230,527</u></u>	<u><u>5,572,154</u></u>

1. Income tax approval

The Company's tax returns through 2023 have been assessed and approved by the Tax Authority.

2. Global minimum top-up tax

The Group recognizes the top-up tax as current income tax when it is actually incurred, while the deferred income tax accounting treatment related to the top-up tax applies the mandatory temporary exception. Please refer to Note (4)(s) of the consolidated financial statements for the year ended December 31, 2025, for the accounting policies.

The Group's subsidiaries operating in Thailand, Techman Electronics (Thailand) Co., Ltd. ("TMT") and QMB Co., Ltd. ("QMB"), have received government incentives that result in additional tax exemptions, causing their effective tax rates to fall below 15%. As a result, they are subject to the domestic minimum tax requirements effective from January 1, 2025. The Group expects to pay additional current income tax.

The Group's subsidiary operating in Vietnam, QMH COMPUTER CO. LTD. ("QMH"), has received government incentives that result in additional tax exemptions, causing its effective tax rate to fall below 15%. Accordingly, it is also subject to the domestic minimum tax requirements effective from January 1, 2025. The Group expects to pay additional current income tax.

The Group is closely monitoring developments related to the implementation of the global minimum top-up tax in countries which it operates in. As of March 31, 2026, aside from the aforementioned entities, there were no significant impact in countries where it operates in.

3. The Group's income tax returns must be filed individually by each entity instead of on a consolidated basis; consequently, the Group's income taxes were calculated using the local tax rate applicable to each entity.

(s) Share capital and other equity

Except for the following disclosure, there is no significant difference in capital and other equity for the three months ended March 31, 2026 and 2025. Please refer to Note (6)(s) of the consolidated financial statements for the year ended December 31, 2025, for other related information.

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1. Retained earnings

According to the Articles of Incorporation, wherein Article 27-2 stipulated that the Company's earnings distribution or loss off-setting may be made after the end of each half of the fiscal year in accordance with Article 228-1 of the Company Act. Earnings distributed in the form of cash shall be approved by the Board of Directors.

According to the amended Articles of Incorporation, after-tax earnings are initially used to offset cumulative losses, and 10% of the remainder is set aside as a legal reserve, except when the legal reserve of the Company reaches its paid-in capital. Special reserve may be appropriated if necessary, and then any remaining profit together with any undistributed retained earnings shall be distributed in accordance with the relevant laws or regulations, or as outlined by the Articles of Incorporation.

The 2025 earnings to be appropriated were resolved by the Board of Directors as follows:

	The date the resolution was approved by the Board of Directors	Dividend per share (NTD)— cash	Amount
Dividends distributed to ordinary shareholders			
The first half of 2025	August 12, 2025	\$ -	-
The second half of 2025	February 26, 2026	15.60	60,256,988
Total			<u>\$ 60,256,988</u>

The 2024 earnings to be appropriated were resolved by the Board of Directors as follows:

	The date the resolution was approved by the Board of Directors	Dividend per share (NTD)— cash	Amount
Dividends distributed to ordinary shareholders			
The first half of 2024	August 9, 2024	\$ -	-
The second half of 2024	February 27, 2025	13.00	50,214,156
Total			<u>\$ 50,214,156</u>

2. Treasury stock

The Company's shares held by its subsidiaries were as follows:

	March 31, 2026		
	Shares (in thousands)	Cost	Market price
RTK	<u>8,109</u>	<u>\$ 333,094</u>	<u>2,258,324</u>

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December 31, 2025			
	Shares (in thousands)	Cost	Market price
RTK	<u>8,109</u>	<u>\$ 333,094</u>	<u>2,205,617</u>
March 31, 2025			
	Shares (in thousands)	Cost	Market price
RTK	<u>8,109</u>	<u>\$ 333,094</u>	<u>1,820,445</u>

3. Other equity after tax

	Exchange differences on translation of foreign financial statement	Unrealized gains (losses) from financial assets measured at fair value through other comprehensive income	Total
Balance as of January 1, 2026	\$ 6,287,912	(7,482,232)	(1,194,320)
Exchange differences on translation of foreign financial assets	3,205,100	-	3,205,100
Exchange differences on associates accounted for using equity method	885	-	885
Unrealized losses from financial assets measured at fair value through other comprehensive income	-	(229,617)	(229,617)
Changes in ownership interests in subsidiaries	70	(17)	53
Balance as of March 31, 2026	<u>\$ 9,493,967</u>	<u>(7,711,866)</u>	<u>1,782,101</u>
Balance as of January 1, 2025	\$ 14,883,863	(8,646,248)	6,237,615
Exchange differences on translation of foreign financial assets	2,190,791	-	2,190,791
Exchange differences on associates accounted for using equity method	1,235	49	1,284
Unrealized losses from financial assets measured at fair value through other comprehensive income	-	(897,510)	(897,510)
Balance as of March 31, 2025	<u>\$ 17,075,889</u>	<u>(9,543,709)</u>	<u>7,532,180</u>

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4. Non-controlling interests after tax

	For the Three Months Ended March 31,	
	2026	2025
Balance as of January 1	\$ 12,167,471	8,020,106
Shares attributed to non-controlling interests		
Net profit	113,679	198,674
Exchange differences on translation of foreign financial statement	84,832	39,237
Unrealized gains from financial assets measured at fair value through other comprehensive income	9,111	28,837
Changes in ownership interests in subsidiaries	3,170	-
Changes in non-controlling interests	(412,586)	(453,880)
Others	18	-
Balance as of March 31	<u>\$ 11,965,695</u>	<u>7,832,974</u>

(t) Share-based payment

	Equity-settled		
	Cash capital increase reserved for employee subscription	Employee stock options	
Grant date	July 15, 2025	July 1, 2024	November 1, 2023
Number of shares granted (In thousands of shares)	1,280	1,176	1,824
Contract term	Immediately vested	27 months	27 months
Vesting conditions	Immediately vested	Two years after the employee stock options were issued to the employees, the stock option holders may exercise in part or in full of the stock option rights within 3 months from the next day of the expiration period. Failure to exercise the stock option rights within the expiration period will be deemed to give up the stock option rights.	Two years after the employee stock options were issued to the employees, the stock option holders may exercise in part or in full of the stock option rights within 3 months from the next day of the expiration period. Failure to exercise the stock option rights within the expiration period will be deemed to give up the stock option rights.

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1. Employee stock option certificates

1) TRI, a subsidiary of QSI, resolved to issue 3,000 thousand shares of employee stock options during the Board of Directors meeting held on August 29, 2023. The employee stock options have been registered with and approved by the Securities and Futures Bureau of the FSC. The resolution was approved during the Board of Directors meeting held on October 25, 2023, to issue the employee stock options in installments.

2) Determining the fair value of equity instruments granted

The Group used Black-Scholes-option valuation model to estimate the fair value of the share-based payment at the grant date. The inputs to the model were as follows:

	<u>2024.07.01</u>	<u>2023.11.01</u>
	<u>Employee stock options</u>	
Fair value at grant date	4.6223	1.4073
Exercise price	\$60	\$60
Expected volatility (%)	18.1883%	15.875%
Expected life (years)	27 months	27 months
Risk-free interest rate (%)	1.3917%	1.0498%

3) Information on employee stock options

(Unit : Thousands)

	<u>For the Three Months Ended March 31,</u>			
	<u>2026</u>		<u>2025</u>	
	<u>Weighted- average exercise price</u>	<u>Number of options</u>	<u>Weighted- average exercise price</u>	<u>Number of options</u>
Outstanding as of January 1	\$ 57.20	1,388	60.00	3,000
Exercised during the period	57.20	(212)	-	-
Outstanding as of March 31	57.20	<u>1,176</u>	60.00	<u>3,000</u>
Exercisable as of March 31	-	<u>-</u>	-	<u>-</u>

The information on the Group's outstanding stock options was as follows:

	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Exercise price range (NTD)	\$ -	57.2	-
Weighted-average remaining contract term	-	0.083	-

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4) Expense recognized in profit or loss

The Group incurred expenses of share-based payment for the three months ended March 31, 2026 and 2025, were as follows:

	For the Three Months Ended March 31,	
	2026	2025
Expenses recognized for employee stock options	<u>\$ 680</u>	<u>1,000</u>

2.Cash capital increase reserved for employee subscriptions

1) TRI, a subsidiary of QSI, resolved to issue 12,800 thousand ordinary shares for cash capital increase at its board meeting on July 15, 2025. In accordance with Article 267 of the Company Act, 10% of the issued shares should be reserved for employee subscriptions. The grant date of the employee stock options is September 24, 2025, and the fair value of the stock option certificate on the grant date is \$9.22.

2) Determining the fair value of equity instruments granted

The Group used Black-Scholes-option valuation model to estimate the fair value of the share-based payment at the grant date. The inputs to the model were as follows:

	2025.07.15
	Cash capital increase reserved for employee subscription
Fair value at grant date	9.2200
Exercise price	\$238
Expected volatility (%)	57.020%
Expected life (years)	Immediately vested
Risk-free interest rate (%)	1.1569%

(u) Earnings per share

For the three months ended March 31, 2026 and 2025, the basic and diluted earnings per share were calculated as follows:

1.Basic earnings per share

	For the Three Months Ended March 31,	
	2026	2025
Profit attributable to ordinary shareholders of the Company	<u>\$ 21,192,434</u>	<u>19,498,468</u>

Unit : thousand shares

	For the Three Months Ended March 31,	
	2026	2025
Weighted-average number of ordinary shares (basic)	<u>3,854,519</u>	<u>3,854,519</u>

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2. Diluted earnings per share

	For the Three Months Ended March 31,	
	2026	2025
Profit attributable to owners of the Company (basic)	\$ 21,192,434	19,498,468
Interest expenses and other gains and losses on convertible bonds, net of tax	158,094	264,753
Profit attributable to ordinary shareholders of the Company	<u><u>\$ 21,350,528</u></u>	<u><u>19,763,221</u></u>

Unit : thousand shares

	For the Three Months Ended March 31,	
	2026	2025
Weighted-average number of ordinary shares (basic)	3,854,519	3,854,519
Effect of conversion of convertible bonds	169,724	89,979
Effect of employee stock compensation	23,744	22,903
Weighted-average number of ordinary shares (diluted)	<u><u>4,047,987</u></u>	<u><u>3,967,401</u></u>

(v) Revenue from contracts with customers

1. Disaggregation of Revenue

	For the Three Months Ended March 31,	
	2026	2025
Primary geographical markets:		
America	\$ 672,940,499	339,869,290
Mainland China	25,597,663	20,677,981
Netherlands	8,146,861	11,168,901
Japan	15,679,210	21,162,075
Other countries	86,856,822	92,793,743
	<u><u>\$ 809,221,055</u></u>	<u><u>485,671,990</u></u>
Major products:		
Electronic products	\$ 808,284,842	484,415,055
Other products	936,213	1,256,935
	<u><u>\$ 809,221,055</u></u>	<u><u>485,671,990</u></u>

2. Contract balances

	March 31, 2026	December 31, 2025	March 31, 2025
Contract liabilities	<u><u>\$ 123,687,517</u></u>	<u><u>107,124,589</u></u>	<u><u>98,472,902</u></u>

For details on trade receivables and allowance for impairment, please refer to Note (6)(e).

The amounts of revenue recognized for the three months ended March 31, 2026 and 2025 that were included in the contract liability balance at the beginning of the periods were \$12,027,235 and \$10,003,519, respectively.

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The major change in the balance of contract liabilities is the difference between the time frame in the performance obligation to be satisfied and the payment to be received.

(w) Remuneration to employees and directors

On June 13, 2025, the Company resolved at the shareholders' meeting to amend its Articles of Incorporation. According to the amended Articles, if the Company has profit in a given fiscal year, the profit shall be used to offset against any accumulated losses incurred by the Company. The remainder, if any, 2% shall be allocated as employee remuneration (including a minimum of 2% to those base-level employees) and a maximum of 2% as remuneration for directors and supervisors. The recipients of the aforementioned employee remuneration, whether in the form of shares or cash, may include employees of the subsidiaries who meet certain specific requirements. Prior to the amendment, the Articles of Incorporation stipulated that, if the Company has profit in a given fiscal year, the profit shall be used to offset against any accumulated losses incurred by the Company. The remainder, if any, 2% should be allocated as employee remuneration and no more than 2% as remuneration for directors and supervisors. The recipients of the aforementioned employee remuneration, whether in the form of shares or cash, could include employees of the subsidiaries who met certain specific requirements.

For the three months ended March 31, 2026 and 2025, the Company appropriated its employee remuneration amounting to \$1,938,000 and \$1,941,200 and directors' remuneration for both periods amounting to \$3,600. The estimated amounts mentioned above are calculated based on the net profit before tax, excluding the remuneration to employees and directors of the period, multiplied by the percentages of remuneration to employees and directors as specified in the Company's Articles of Incorporation. These remunerations were expensed under operating costs or operating expenses during the periods.

For the years ended December 31, 2025 and 2024, the remuneration to employees amounted to \$7,471,342 and \$5,751,896 and the remuneration to directors for both years amounted to \$14,000. The amount of employees' remuneration and directors' remuneration were identical to that of the estimation stated in the financial statements for 2025 and 2024. The distribution of employee and directors' remuneration for 2025 and 2024 was resolved and the information is available on the Market Observation Post System website.

(x) Non-operating income and expenses

1. Interest income

The details of interest income were as follows:

	For the Three Months Ended March 31,	
	2026	2025
Interest income from bank deposits	\$ 1,452,270	1,386,850
Other interest income	43,515	24,574
Total interest income	<u>\$ 1,495,785</u>	<u>1,411,424</u>

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2. Other income

The details of other income were as follows:

	For the Three Months Ended March 31,	
	2026	2025
Dividend income	\$ <u>35,818</u>	<u>19,887</u>

3. Other gains and losses

The details of other gains and losses were as follows:

	For the Three Months Ended March 31,	
	2026	2025
Losses on disposal of property, plant and equipment	\$ (37,758)	(99,346)
Gains on liquidation of subsidiary	178,561	-
Foreign exchange gains	3,249,012	2,075,480
Net gains (losses) on financial assets (liabilities) at fair value through profit or loss	157,386	56,919
Reversal of impairment losses on non-financial assets	-	1,111
Fee expense arising from sale of receivables	(436,916)	(40,212)
Subsidy	232,383	40,918
Others	214,363	(371,039)
Net	\$ <u>3,557,031</u>	<u>1,663,831</u>

4. Financial costs

The details of financial costs were as follows:

	For the Three Months Ended March 31,	
	2026	2025
Interest expenses	\$ <u>3,570,434</u>	<u>2,412,529</u>

(y) Financial instruments

Except for the condition mentioned below, there was no significant change in the fair value of the Group's financial instruments and degree of exposure to credit risk, liquidity risk and market risk arising from financial instruments. For the related information, please refer to Note (6)(y) of the consolidated financial statements for the year ended December 31, 2025.

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1. Liquidity risks

The following are the contractual maturities of financial liabilities of the Group, including estimated interest payments and excluding the impact of netting arrangements:

	<u>Carrying amount</u>	<u>Contractual cash flow</u>	<u>Within 6 months</u>	<u>6-12 months</u>	<u>1-2 years</u>	<u>2-5 years</u>	<u>More than 5 years</u>
March 31, 2026							
Non-derivative financial liabilities							
Long-term and short-term borrowings	\$ 424,911,679	434,526,358	356,148,904	6,592,635	-	71,784,819	-
Payables	866,394,208	866,394,208	843,803,246	22,129,958	461,004	-	-
Lease liabilities	10,227,698	11,827,225	1,207,113	1,190,001	2,026,630	4,071,629	3,331,852
Bonds payable	56,897,787	62,279,000	-	-	-	62,279,000	-
Derivative financial liabilities							
Other forward foreign exchange contract:							
Outflow	(1,161)	(1,161)	(1,161)	-	-	-	-
Inflow	41,893	41,893	41,893	-	-	-	-
	<u>\$ 1,358,472,104</u>	<u>1,375,067,523</u>	<u>1,201,199,995</u>	<u>29,912,594</u>	<u>2,487,634</u>	<u>138,135,448</u>	<u>3,331,852</u>
December 31, 2025							
Long-term and short-term borrowings	\$ 258,327,344	259,680,248	243,423,381	16,256,867	-	-	-
Payables	616,529,966	616,529,966	611,549,778	4,450,086	530,102	-	-
Lease liabilities	7,589,986	8,499,430	960,170	1,073,266	1,663,282	3,100,785	1,701,927
Bonds payable	56,578,932	62,279,000	-	-	-	62,279,000	-
	<u>\$ 939,026,228</u>	<u>946,988,644</u>	<u>855,933,329</u>	<u>21,780,219</u>	<u>2,193,384</u>	<u>65,379,785</u>	<u>1,701,927</u>
March 31, 2025							
Non-derivative financial liabilities							
Long-term and short-term borrowings	\$ 253,513,489	255,824,446	233,008,123	9,835,835	12,980,488	-	-
Payables	415,913,737	415,913,737	412,186,441	3,347,974	379,322	-	-
Lease liabilities	5,159,980	5,586,926	866,518	796,756	1,936,986	1,341,244	645,422
Bonds payable	28,946,891	32,055,000	-	-	-	32,055,000	-
Derivative financial liabilities							
Other forward foreign exchange contract:							
Outflow	12,647	12,647	12,647	-	-	-	-
Inflow	(6,587)	(6,587)	(6,587)	-	-	-	-
	<u>\$ 703,540,157</u>	<u>709,386,169</u>	<u>646,067,142</u>	<u>13,980,565</u>	<u>15,296,796</u>	<u>33,396,244</u>	<u>645,422</u>

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The Group does not expect that the cash flows included in the maturity analysis to occur significantly earlier or at significantly different amounts.

2.Currency risks

1) Exposure to foreign currency risks

			March 31, 2026	
Functional currency	Exchange rate	Currency	Foreign currency (in thousands)	Carrying amount (NTD)
Financial assets				
Monetary items				
NTD	31.9950	USD	\$ 29,240,998	935,556,415
NTD	36.7100	EUR	201,612	7,401,173
USD	0.0063	JPY	15,569,344	3,114,077
USD	0.1445	CNY	3,472,581	16,057,063
USD	0.0305	THB	1,754,059	1,709,050
Financial liabilities				
Monetary items				
NTD	31.9950	USD	25,269,720	807,743,253
NTD	36.7100	EUR	201,359	7,272,533
USD	0.0305	THB	1,411,949	1,375,719
USD	0.0063	JPY	15,500,916	3,100,391
USD	0.1445	CNY	1,946,747	9,001,673

			December 31, 2025	
Functional currency	Exchange rate	Currency	Foreign currency (in thousands)	Carrying amount (NTD)
Financial assets				
Monetary items				
NTD	31.4300	USD	\$ 23,961,459	753,102,196
NTD	0.2008	JPY	6,389,269	1,282,965
NTD	36.9000	EUR	209,476	7,729,655
USD	0.0064	JPY	5,943,892	1,195,140
USD	0.1423	CNY	3,449,669	15,425,548
USD	0.0317	THB	1,697,215	1,689,014

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			December 31, 2025	
Functional currency	Exchange rate	Currency	Foreign currency (in thousands)	Carrying amount (NTD)
Financial liabilities				
Monetary items				
NTD	31.4300	USD	18,144,065	570,028,501
NTD	36.9000	EUR	204,739	7,325,633
USD	0.0317	THB	1,282,231	1,276,035
USD	0.0064	JPY	11,108,679	2,233,058
USD	0.1423	CNY	2,435,242	10,889,434
			March 31, 2025	
Functional currency	Exchange rate	Currency	Foreign currency (in thousands)	Carrying amount (NTD)
Financial assets				
Monetary items				
NTD	33.2050	USD	\$ 16,216,840	538,463,987
NTD	0.2227	JPY	6,672,576	1,485,983
NTD	35.9700	EUR	101,408	3,647,659
USD	0.0066	JPY	5,392,578	1,187,042
USD	0.1393	CNY	3,610,942	16,703,536
Financial liabilities				
Monetary items				
NTD	33.2050	USD	11,977,119	396,602,203
NTD	35.9700	EUR	87,922	3,096,493
USD	0.0066	JPY	6,090,154	1,340,604
USD	0.1393	CNY	2,107,014	9,746,648

2) Sensitivity analysis

The Group's foreign exchange exposure to foreign currency risk arises from the translation of the foreign currency exchange gains and losses on cash and cash equivalents, accounts receivable, other receivables, other financial assets, loans and borrowings, accounts payable and other payables that are denominated in foreign currency. Assuming other variables remain the same, a 1% depreciation or appreciation of the NTD against foreign currency for the three months ended March 31, 2026 and 2025, would have increased or decreased the net profit after tax by \$1,082,754 and \$1,205,618, respectively. The analysis is performed on the same basis for both periods.

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3) Gains or losses on foreign exchange

Since the Group has many kinds of functional currency, the information on foreign exchange gains (losses) on monetary items is disclosed by total amount. For the three months ended March 31, 2026 and 2025, foreign exchange gains(including realized and unrealized portions) amounted to \$3,249,012 and \$2,075,480, respectively.

3. Interest rate analysis

Please refer to the notes on liquidity risk management and the Group's interest rate exposure to its financial assets and liabilities.

The following sensitivity analysis is based on the exposure to the interest rate risk of derivative and non-derivative financial instruments on the reporting date. Regarding liabilities with variable interest rates, the analysis is based on the assumption that the amount of liabilities outstanding at the reporting date is outstanding throughout the year.

If the interest rate increases or decreases by 0.25% (25 basis points), the Group's net income would have decreased and increased by \$93,805 and \$9,591 for the three months ended March 31, 2026 and 2025, due to the Group's bank time deposits and borrowings at variable rates. This analysis assumes that all other variables remain constant.

4. Other price risks

If the equity and the debt instrument prices change at the reporting date, and they are based on the same basis for both years and assume that all other variables remain the same, the impact to the comprehensive income will be as follows:

	For the Three Months Ended March 31,			
	2026		2025	
	Other comprehensive income after-tax	Profit (loss) after-tax	Other comprehensive income after-tax	Profit (loss) after-tax
Equity price on the reporting date				
Stock—Increase 7%	\$ <u>1,064,252</u>	<u>72,440</u>	<u>634,816</u>	<u>31,303</u>
Stock—Decrease 7%	\$ <u>(1,064,252)</u>	<u>(72,440)</u>	<u>(634,816)</u>	<u>(31,303)</u>
Beneficiary certificates				
— Increase 1%	\$ <u>-</u>	<u>367,037</u>	<u>-</u>	<u>389,252</u>
Beneficiary certificates				
— Decrease 1%	\$ <u>-</u>	<u>(367,037)</u>	<u>-</u>	<u>(389,252)</u>

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5. Fair value information

1) The categories and fair values of financial instruments

The measurement basis of the financial assets and liabilities at fair value through profit or loss and the financial assets at fair value through other comprehensive income is repetitive. The carrying amount and fair value of the Group's financial assets and liabilities, including the information on fair value hierarchy were as follows; however, except as described in the following paragraphs, for financial instruments not measured at fair value whose carrying amount is reasonably close to the fair value, and lease liabilities, disclosure of fair value information is not required:

	March 31, 2026				
	Carrying amount	Fair value			
		Level 1	Level 2	Level 3	Total
Financial assets at fair value through profit or loss					
Mandatorily measured at fair value through profit or loss	\$ 37,738,531	35,080,016	-	2,658,515	37,738,531
Financial assets at fair value through other comprehensive income					
Stocks in listed companies	8,767,444	8,767,444	-	-	8,767,444
Stocks in unlisted companies	6,436,151	-	-	6,436,151	6,436,151
Accounts receivable	84,916,020	-	-	-	-
Sub-total	100,119,615	8,767,444	-	6,436,151	15,203,595
Financial assets measured at amortized cost					
Cash and cash equivalents	226,733,228	-	-	-	-
Investments in debt instruments	4,852,823	-	4,836,267	-	4,836,267
Preferred stocks in domestic and foreign listed companies	452,363	454,222	-	-	454,222
Accounts receivable	574,017,229	-	-	-	-
Other receivables	1,888,006	-	-	-	-
Other financial assets	2,650,778	-	-	-	-
Sub-total	810,594,427	454,222	4,836,267	-	5,290,489
Total	\$ 948,452,573	44,301,682	4,836,267	9,094,666	58,232,615

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		March 31, 2026				
		Carrying amount	Fair value			
			Level 1	Level 2	Level 3	Total
Financial liabilities at fair value through profit or loss						
Forward foreign exchange contracts	\$	40,732	-	40,732	-	40,732
Convertible bonds – embedded derivatives		613,908	-	-	613,908	613,908
Sub-total		654,640	-	40,732	613,908	654,640
Financial liabilities measured at amortized cost						
Short-term borrowings		328,400,514	-	-	-	-
Accounts payable and other payables		841,587,571	-	-	-	-
Convertible bonds – debt component		56,897,787	-	-	-	-
Long-term borrowings		96,511,165	-	-	-	-
Other financial liabilities		24,806,637	-	-	-	-
Lease liabilities		10,227,698	-	-	-	-
Sub-total		1,358,431,372	-	-	-	-
Total	\$	1,359,086,012	-	40,732	613,908	654,640
		December 31, 2025				
		Carrying amount	Fair value			Total
			Level 1	Level 2	Level 3	
Financial assets at fair value through profit or loss						
Mandatorily measured at fair value through profit or loss	\$	21,847,386	19,408,330	-	2,439,056	21,847,386
Forward foreign exchange contracts		997	-	997	-	997
Sub-total		21,848,383	19,408,330	997	2,439,056	21,848,383
Financial assets at fair value through other comprehensive income						
Stocks in listed companies		8,989,292	8,989,292	-	-	8,989,292
Stocks in unlisted companies		5,288,302	-	-	5,288,302	5,288,302
Accounts receivable		67,682,959	-	-	-	-
Sub-total		81,960,553	8,989,292	-	5,288,302	14,277,594
Financial assets measured at amortized cost						
Cash and cash equivalents		178,309,881	-	-	-	-
Investments in debt instruments		2,831,407	-	2,837,733	-	2,837,733
Preferred stocks in domestic and foreign listed companies		271,234	272,669	-	-	272,669
Accounts receivable		427,285,717	-	-	-	-
Other receivables		1,686,297	-	-	-	-
Other financial assets		3,368,904	-	-	-	-
Sub-total		613,753,440	272,669	2,837,733	-	3,110,402
Total	\$	717,562,376	28,670,291	2,838,730	7,727,358	39,236,379

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		December 31, 2025			
		Fair value			
	Carrying amount	Level 1	Level 2	Level 3	Total
Financial liabilities at fair value through profit or loss					
Convertible bonds – embedded derivatives	\$ 710,899	-	-	710,899	710,899
Financial liabilities measured at amortized cost					
Short-term borrowings	241,723,994	-	-	-	-
Accounts payable and other payables	593,605,636	-	-	-	-
Convertible bonds – debt component	56,578,932	-	-	-	-
Long-term borrowings	16,603,350	-	-	-	-
Other financial liabilities	22,924,330	-	-	-	-
Lease liabilities	7,589,986	-	-	-	-
Sub-total	939,026,228	-	-	-	-
Total	\$ 939,737,127	-	-	710,899	710,899
		March 31, 2025			
		Fair value			
	Carrying amount	Level 1	Level 2	Level 3	Total
Financial assets at fair value through profit or loss					
Mandatorily measured at fair value through profit or loss	\$ 39,372,379	37,238,379	-	2,134,000	39,372,379
Financial assets at fair value through other comprehensive income					
Stocks in listed companies	6,771,218	6,771,218	-	-	6,771,218
Stocks in unlisted companies	2,297,583	-	-	2,297,583	2,297,583
Accounts receivable	56,545,052	-	-	-	-
Sub-total	65,613,853	6,771,218	-	2,297,583	9,068,801
Financial assets measured at amortized cost					
Cash and cash equivalents	171,745,616	-	-	-	-
Investments in debt instruments	1,649,222	-	1,656,816	-	1,656,816
Accounts receivable	394,596,605	-	-	-	-
Other receivables	1,377,314	-	-	-	-
Other financial assets	1,922,236	-	-	-	-
Sub-total	571,290,993	-	1,656,816	-	1,656,816
Total	\$ 676,277,225	44,009,597	1,656,816	4,431,583	50,097,996

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	Carrying amount	March 31, 2025			
		Fair value			
		Level 1	Level 2	Level 3	Total
Financial liabilities at fair value through profit or loss					
Forward foreign exchange contracts	\$ 6,060	-	6,060	-	6,060
Convertible bonds –embedded derivatives	506,469	-	-	506,469	506,469
Sub-total	512,529	-	6,060	506,469	512,529
Financial liabilities measured at amortized cost					
Short-term borrowings	233,994,764	-	-	-	-
Accounts payable and other payables	399,962,891	-	-	-	-
Convertible bonds – debt component	28,946,891	-	-	-	-
Long-term borrowings	19,518,725	-	-	-	-
Other financial liabilities	15,950,846	-	-	-	-
Lease liabilities	5,159,980	-	-	-	-
Sub-total	703,534,097	-	-	-	-
Total	<u>\$ 704,046,626</u>	<u>-</u>	<u>6,060</u>	<u>506,469</u>	<u>512,529</u>

2) Valuation techniques for financial instruments not measured at fair value

The Group's valuation techniques and assumptions used for financial instruments not measured at fair value are as follows:

A. Financial assets measured at amortized cost

If the quoted prices in active markets are available, the market price is established as the fair value. However, if quoted prices in active markets are not available, the estimated valuation or prices used by competitors are adopted.

B. Financial liabilities measured at amortized cost

If there is quoted price generated by transactions, the recent transaction price and quoted price data are used as the basis for fair value measurement. However, if no quoted prices are available, the discounted cash flows are used to estimate fair values.

3) Valuation techniques for financial instruments measured at fair value

A. Non-derivative financial instruments

The fair value of financial instruments traded in an active market is based on quoted market price. The quotation, which is published by the main exchange center, is included in the fair value of the listed securities instruments.

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The Group holds the financial instruments with the active market, the categories and characteristics of fair value are listed as follow:

Certificates-open-end mutual funds, stocks in listed companies and debt investments with quoted market price are the financial instruments with standard terms and conditions and traded in an active market. These fair values are based on market quoted price.

The Group holds the financial instruments without active market, the categories and characteristics of fair value are listed as follows:

Debt instruments without quoted prices: The discounted cash flow method is used to estimate the fair value. The main assumption for the model is to discount the expected future cash flow by using a discount rate that reflects the time value of money and risks.

Equity instruments without quoted prices: The market price method and the net asset value method are used to estimate the fair value. The market price method uses recent financing activity of investment target or market price of similar financial instruments, including consider market condition, to estimate fair value. The main assumption for the net asset value method is using the net asset value per share as the measuring basis.

B. Derivative financial instruments

Measurement of the fair value of derivative instruments is based on the valuation techniques generally accepted by market participants such as the discounted cash flow or option pricing models. Fair value of forward currency is usually determined by the forward currency exchange rate.

The conversion, redemption, and repurchase rights of corporate bonds payable, were measured at fair value based on external expert evaluation reports. The binomial tree convertible bond pricing model is used as its evaluation model, which uses both market-based observable and unobservable input values, including volatility, risk-free interest rate, risk discount rate, and liquidity risk, to reflect the fair value of the option. Among all the input values, volatility is deemed as unobservable input value.

- 4) For the three months ended March 31, 2026 and 2025, there were no transfers between Level 1 and Level 2.

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5) Changes in level 3 of the fair value

	<u>At fair value through profit or loss</u>	<u>Fair value through other comprehensive income</u>
	Non-derivative financial assets mandatorily measured at fair value through profit or loss	Unquoted equity instruments
Balance as of January 1, 2026	\$ 2,439,056	5,288,302
Total gains and losses recognized		
In profit or loss	100,601	-
In other comprehensive income	-	55,465
Acquisition	118,858	1,092,384
Balance as of March 31, 2026	<u>\$ 2,658,515</u>	<u>6,436,151</u>
Balance as of January 1, 2025	\$ 1,996,509	2,133,363
Total gains and losses recognized		
In profit or loss	61,400	-
In other comprehensive income	-	345
Acquisition	76,091	163,875
Balance as of March 31, 2025	<u>\$ 2,134,000</u>	<u>2,297,583</u>

The aforementioned total gains and losses were recognized in “other gains and losses” and “unrealized gains and losses from financial assets at fair value through other comprehensive income”. The details of the assets which the Group still held as of March 31, 2026 and 2025, were as follows:

	<u>For the Three Months Ended March 31,</u>	
	<u>2026</u>	<u>2025</u>
Total gains and losses recognized		
In profit or loss (accounted as “other gains and losses”)	\$ 100,601	61,400
In other comprehensive income (accounted as “unrealized gains and losses from financial assets at fair value through other comprehensive income”)	55,465	345

6) Quantified information for significant unobservable inputs (level 3) used in fair value measurement

The Group’s financial instruments that use Level 3 inputs to measure fair value include financial assets measured at fair value through profit or loss and financial assets measured at fair value through other comprehensive income-equity investments.

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Quantified information of significant unobservable inputs were as follows:

Item	Valuation techniques	Significant non-observable inputs	The relationship between significant non-observable inputs and fair values
Financial assets at fair value through profit or loss-equity instruments without active market	Comparable companies approach	·Market value ratio (27.90 as of March 31, 2026, December 31, 2025 and March 31, 2025) ·Liquidity discount rate (31.70% as of March 31, 2026, December 31, 2025 and March 31, 2025)	The estimated fair value would increase if the market value ratio were higher. The estimated fair value would increase if the lack of liquidity discount rate were lower.
Financial assets at fair value through profit or loss-equity instruments without active market	Net asset value method	·Net asset value	The estimated fair value would increase if the net asset value were higher.
Financial assets at fair value through other comprehensive income-equity instruments without active market	Net asset value method	·Net asset value	The estimated fair value would increase if the net asset value were higher.
Financial assets at fair value through other comprehensive income-equity instruments without active market	Comparable companies approach	·Market value ratio (14.45, 17.17; 14.45, 22.26; 18.80 as of March 31, 2026, December 31, 2025 and March 31, 2025) ·Liquidity discount rate (20.00% as of March 31, 2026, December 31, 2025 and March 31, 2025)	The estimated fair value would increase if the market value ratio were higher. The estimated fair value would increase if the lack of liquidity discount rate were lower.
Financial liabilities at fair value through profit or loss-embedded derivative	Binomial Tree Convertible Bond Pricing Model	·Volatility (41.39%, 37.65% and 42.46% as of March 31, 2026, December 31, 2025 and March 31, 2025)	The estimated fair value would increase if the volatility changes upward were higher.

(z) Financial risk management

There were no significant differences of the Group's financial risk management and policies with those disclosed in Note (6)(z) of the consolidated financial statements for the year ended December 31, 2025.

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(aa) Capital Management

Management believes that the objectives, policies and processes of capital management of the Group have been applied consistently with those described in Note (6)(aa) of the consolidated financial statements for the year ended December 31, 2025. Also, management believes that there were no significant changes in the Group's capital management information as disclosed for the year ended December 31, 2025.

(ab) Financing activities not affecting current cash flow

For the three months ended March 31, 2026 and 2025, the Group's financing activities which did not affect the current cash flow were acquisition of right-of-use assets from leasing. Please refer to Note (6)(j).

Reconciliation of liabilities arising from financing activities were as follows:

			Non-cash changes		
	January 1, 2026	Cash flows	Others	Movements in exchange rate	March 31, 2026
Long-term borrowings	\$ 16,603,350	79,552,424	-	355,391	96,511,165
Short-term borrowings	241,723,994	86,026,457	-	650,063	328,400,514
Lease liabilities	7,589,986	(432,095)	2,736,317	333,490	10,227,698
Bonds Payable	56,578,932	-	318,855	-	56,897,787
Total liabilities from financing activities	<u>\$ 322,496,262</u>	<u>165,146,786</u>	<u>3,055,172</u>	<u>1,338,944</u>	<u>492,037,164</u>

			Non-cash changes		
	January 1, 2025	Cash flows	Others	Movements in exchange rate	March 31, 2025
Long-term borrowings	\$ 44,671,517	(25,127,580)	-	(25,212)	19,518,725
Short-term borrowings	157,066,979	76,440,437	-	487,348	233,994,764
Lease liabilities	4,764,396	(374,610)	702,673	67,521	5,159,980
Bonds Payable	28,784,239	-	162,652	-	28,946,891
Total liabilities from financing activities	<u>\$ 235,287,131</u>	<u>50,938,247</u>	<u>865,325</u>	<u>529,657</u>	<u>287,620,360</u>

(7) Related Party Transactions

(a) Names and relationship with related parties

The followings are entities that have had transactions with related party during the periods covered in the consolidated financial statements.

Name of related party	Relationship with the Group
Quanta Culture & Education Foundation	Same chairman (other related parties)
Quanta Computer Employee Welfare Committee	Same chairman (other related parties)
Quanta Arts Foundation	Same chairman (other related parties)
Quanta Medical Technology Foundation	Same chairman (other related parties)

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Name of related party	Relationship with the Group
Chinese National Association of Industry and Commerce, Taiwan (CNAIC)	The Company's chairman is a Director of the Board of CNAIC. (other related parties)
SINOCON Industrial Standards Foundation (SINOCON)	The Company's chairman is a Managing Director of SINOCON. (other related parties)
Institute for Biotechnology and Medicine Industry (IBMI)	The Company's chairman is Board of Director & Vice President of IBMI. (other related parties)
Lung Yingtai Cultural Foundation (LYCF)	The Company's chairman is a member of the Board of LYCF. (other related parties)
OMRON Corporation	The Group's other related parties
Omron Robotics and Safety Technologies, Inc.	The Group's other related parties
Omron Taiwan Electronics Inc.	The Group's other related parties
SMT Technologies Sdn. Bhd.	The Group's other related parties
aetherAI Co., Ltd.	The Group's other related parties
aetherAI KK	The Group's other related parties
EBN Technology Corporation	An investee company accounted for using equity method (Affiliates)
LIONS Taiwan Technology Inc.	An investee company accounted for using equity method (Affiliates)
NU Inc.	An investee company accounted for using equity method (Affiliates)

(b) Significant transactions with related parties

1.Revenues from related parties

The amounts of significant sales between the Group and related parties were as follows:

	For the Three Months Ended March 31,	
	2026	2025
Affiliates	\$ -	9,727
Other related parties	92,594	131,767
	\$ 92,594	141,494

Prices sold to related parties were negotiated, which do not have counter parties to compare with.

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2.Receivables from related parties

Receivables from related parties were as follows:

<u>Account</u>	<u>Category of related party</u>	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Accounts receivable	Affiliates	\$ -	-	2,781
Accounts receivable	Other related parties	51,783	59,125	72,825
Other receivables	Other related parties	<u>2,576</u>	<u>1,875</u>	<u>3,605</u>
		<u>\$ 54,359</u>	<u>61,000</u>	<u>79,211</u>

3.Payables to related parties

Payables to related parties were as follows:

<u>Account</u>	<u>Category of related party</u>	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Accounts payable	Other related parties (Note 1)	\$ 75,142	81,518	82,897
Other payables	Other related parties	<u>141,598</u>	<u>134,152</u>	<u>68,141</u>
		<u>\$ 216,740</u>	<u>215,670</u>	<u>151,038</u>

Note 1: Accounts payable to other related parties are purchases, which for the purpose of service revenue, are considered as agency transaction and are presented in net amount.

4.Prepayments

<u>Account</u>	<u>Category of related party</u>	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Prepaid expenses	Affiliates	\$ -	-	<u>800</u>

5.Unearned revenue

<u>Account</u>	<u>Category of related party</u>	<u>March 31, 2026</u>	<u>December 31, 2025</u>	<u>March 31, 2025</u>
Contract liabilities	Affiliates	\$ -	-	<u>20,393</u>

6.Others

	<u>For the Three Months Ended March 31,</u>	
	<u>2026</u>	<u>2025</u>
<u>Affiliates</u>		
Other income	\$ 200	200
<u>Other related parties</u>		
Rental income	4,502	3,321
Other income	1,112	1,359
Donation expenses	6,750	17,250
Employee benefits	298,513	173,349
Other expenses	50	2,532

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(c) Transactions with key management personnel

Compensation for key management personnel includes:

	For the Three Months Ended March 31,	
	2026	2025
Short-term employee benefits	\$ 375,961	380,008
Post-employment benefits	801	756
	<u>\$ 376,762</u>	<u>380,764</u>

(8) Assets Pledged as Security

The carrying amount of assets pledged as security were as follows:

Assets pledged as security	Object	March 31, 2026	December 31, 2025	March 31, 2025
Pledged time deposits	Customs collateral and deposits for factory lease, etc.	\$ 119,403	117,188	73,835
Other financial assets-current	Deposits for government project and bid	7,770	9,689	7,770
Guarantee deposits paid	Deposits for office and factory lease, project, and long-term material purchase contracts, etc.	1,603,154	1,525,886	944,697
		<u>\$ 1,730,327</u>	<u>1,652,763</u>	<u>1,026,302</u>

(9) Significant Commitments and Contingencies

(a) Unrecognized contractual commitments :

1.The contractual commitments for the acquisition of property, plant and equipment and right-of-use assets not recognized by the Group were as follows:

	March 31, 2026	December 31, 2025	March 31, 2025
Property, plant and equipment	\$ 41,935,407	3,179,056	4,011,713
Right-of-use assets	-	911,517	884,889
	<u>\$ 41,935,407</u>	<u>4,090,573</u>	<u>4,896,602</u>

2.Promissory notes issued as guarantee for purchasing, borrowings, foreign exchange forward contracts and import or export bills advance were as follows:

	March 31, 2026	December 31, 2025	March 31, 2025
NTD	\$ 63,565,550	61,902,600	53,082,600
USD (in thousands)	16,033,800	14,005,050	11,025,450

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- (b) As of March 31, 2026, December 31, 2025, and March 31, 2025, the guarantee notes received from outsourcing, vendor performance, and construction contracts amounted to \$538,739, \$540,145 and \$652,239, respectively.
- (c) Significant litigation:

1.Litigation 1:

In October 2017, QSI received the investigation result from the Court of Justice of the European Union on the first instance antitrust remedy and the fine of EUR 7,146 thousand. QSI filed for an appeal in September 2019. On June 16, 2022, the Court of Final Appeal of the European Union handed down its judgment, which upheld the previous court's decision to impose a fine of EUR 7,146 thousand on QSI and ruled that QSI may claim half of the costs related to the first instance litigation and the full amount of the costs related to the second instance litigation from the European Commission. QSI had recognized the estimated full amount of the fine in 2017, and there is no significant impact on the business operation of the Group.

2.Litigation 2:

QSI's subsidiary, TMT, and World Electric (Thailand) Ltd., completed the registration of ownership transfer for Chonburi plant in Thailand in 2021. However, the seller claimed that some of its assets remain stored in the plant after the transfer of ownership. The seller then filed a lawsuit on July 11, 2022, demanding that TMT should pay compensation amounting to THB 9,440 thousand for denying seller's entry to the plant to retrieve its assets. In November 2023, TMT received the first formal notice for the payment of the compensatory damage of THB 2,186 thousand. Thereafter, it has filed for an appeal to the court. In December 2024, the second instance upheld the previous court's decision and the total compensatory damage with interest and litigation expenses of THB 2,485 thousand was fully paid in April 2025.

3.Litigation 3:

In April, 2023, ACQIS LLC ("ACQIS") filed a patent infringement lawsuit to the United States District Court for the Western District of Texas against the Group. ACQIS and the Group reached a settlement in February 2026.

The Group will evaluate the reasonableness of recognized expenses during every financial reporting period based on the nature of the case, the expected loss and materiality of the amount, the progress of the case, and the comments of the professional consultants. Also, the Group have made necessary adjustments in a manner deemed appropriate. However, the final amount will not be set until the termination of related cases. Although the Group will actively defend the aforementioned cases which have not yet reconciled and which are still in progress, the potential losses (if any) cannot be calculated accurately at the present time due to the unpredictability nature of legal cases. The Group cannot rule out the possibility that they fail to win or settle all the related cases. The related fines, judgement amounts, or reconciliation might have material negative impact on the business, operations, and prospects of the Group.

(10) Losses Due to Major Disasters : None.

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(11) Subsequent Events : None.

(12) Others

- (a) The employee benefits, depreciation, depletion and amortization expenses categorized by function were as follows:

By item	By function	For the Three Months Ended March 31, 2026			For the Three Months Ended March 31, 2025		
		Operating cost	Operating expense	Total	Operating cost	Operating expense	Total
Employee benefits							
Salary		8,173,009	7,965,273	16,138,282	6,009,820	7,021,869	13,031,689
Labor and health insurance		584,179	518,261	1,102,440	543,294	451,109	994,403
Pension		567,395	310,881	878,276	548,084	271,053	819,137
Others		585,983	302,891	888,874	530,651	196,052	726,703
Depreciation		2,745,732	510,501	3,256,233	2,249,323	420,975	2,670,298
Amortization		251,933	128,224	380,157	250,171	112,628	362,799

(13) Other Disclosures

- (a) Information on significant transactions

The following is the information on significant transactions required by the “Regulations Governing the Preparation of Financial Reports by Securities Issuers” for the Group for the three months ended March 31, 2026:

1. Fund financing to other parties:

(Amounts Expressed in Thousands of New Taiwan Dollars)

Number (Note 1)	Name of lender	Name of borrower	Account name	Related party	Highest balance of financing to other party during the period (Foreign Currencies in Thousands)	Ending balance (Foreign Currencies in Thousands)	Actual usage amount during the period (Foreign Currencies in Thousands)	Range of interest rates during the period	Purposes of fund financing for the borrower (Note 2)	Transaction amount for business between two parties	Reasons for short- term financing	Loss allowance	Collateral		Individual funding loan limits (Note 3)	Maximum limit of fund financing (Note 3)
													Name	Value		
0	The Company	QCH	Other receivables	Yes	169,573,500 (USD 5,300,000)	169,573,500 (USD 5,300,000)	89,710,718 USD 2,803,898	-	1	972,890,232	Business contact	-		-	207,482,788	207,482,788
1	TCC	DSY	"	"	92,479 RMB 20,000	92,479 RMB 20,000	92,479 RMB 20,000	2.77 %	2	-	Business operation	-		-	121,183	7,190,513

Note 1: The numbers denote the following:

1. 0 is issuer.

2. Investees are listed by names and numbered starting with 1.

Note 2: Purpose of fund financing for the borrower:

1. For those companies with business contact, please fill in 1.

2. For those companies with short-term financing needs, please fill in 2.

Note 3: Maximum limitation on fund financing:

(1) Limitation on the Company's total fund financing amount and individual party

1) The Company's cumulative total of fund financing amount (including business contact and short-term financing), cannot exceed its net asset value.

2) For those companies with business contact, the amount of each fund financing cannot exceed the trading amount between the two parties. The trading amount means the higher of sales or purchases.

3) The cumulative amount of short-term financing cannot exceed 40% of the net asset value on its most recent financial statements. The amount of each fund financing cannot exceed the borrower's double net asset value, and should be calculated in combination with the amount of guarantees and endorsements for those companies. For subsidiaries not within the territory of the ROC that are 100% directly or indirectly owned by the Company, the amount of fund financing is not restricted to this regulation. However, the cumulative amount still cannot exceed 40% of the Company's net asset value.

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For each applying for loans due to business contact, the fund financing amount is limited to its amount of business contact in current portion. Before proceeding the fund financing application, each application should be assessed carefully in accordance with the regulations of Article 3, paragraph 1, of this operating procedure. If it complies with the requirements, the current and previous amount of financing should be aggregated. If the aggregate amount exceeds the amount limitation of "business contact", the excess amount should be reclassified as "short-term financing", and the fund financing items and amounts should be listed separately when the Board of Directors reports the resolution.

The net asset value mentioned above refers to total equity attributable to owners of the parent on the balance sheet which is certified by the external accountant.

(2) Limitation on the subsidiaries' total fund financing amount and individual party

- 1) The Company's total fund financing amount cannot exceed 40% of its net asset value.
- 2) For those companies with business contact, the amount of each fund financing cannot exceed the trading amount between the two parties. The trading amount means the higher of sales or purchases.
- 3) For those companies with short-term financing needs, the amount of each fund financing cannot exceed the borrower's net asset value, and should be calculated together with guarantees and endorsements for those companies. For foreign companies that are 100% directly or indirectly owned by the Company, or foreign companies that are 100% directly or indirectly owned by the Company leading to the Company, the amount of fund financing is not restricted to above 3 items. However, the amount of each fund financing cannot exceed 40% of the Company's net asset value.

Note 4: The aforementioned inter-company transactions have been eliminated in the consolidated financial statements.

2. Guarantees and endorsements for other parties:

(Amounts Expressed in Thousands of New Taiwan Dollars)

Number (Note 1)	Name of the guarantor	Counter-party of guarantee and endorsement		Limitation on amount of guarantees and endorsements for a specific enterprise (Note 2 and 3)	Highest balance for guarantees and endorsements during the period (Foreign Currencies in Thousands)	Balance of guarantees and endorsements as of reporting date (Foreign Currencies in Thousands)	Actual usage amount during the period (Foreign Currencies in Thousands)	Property pledged on guarantees and endorsements	Ratio of accumulated amounts of guarantees and endorsements to net worth of the latest financial statements	Maximum amount for guarantees and endorsements (Note 2 and 3)	Parent company endorsements guarantees to third parties on behalf of subsidiary	Subsidiary endorsements guarantees to third parties on behalf of parent company	Endorsements/ guarantees to third parties on behalf of companies in Mainland China
		Name	Relationship with the Company (Note 4)										
0	The Company	QIL	2	207,482,788	60,790,500	60,790,500	60,790,500	-	29.30 %	207,482,788	Y	N	N
					USD 1,900,000	(USD 1,900,000)	(USD 1,900,000)						
1	TRI	TRS	3	1,374,238	5,919	5,919	-	-	0.09 %	2,748,476	N	N	Y

Note 1: The numbers denote the following:

1. 0 is issuer.
2. Investees are listed by names and numbered starting with 1.

Note 2: Maximum amount for guarantees and endorsements:

1. The total amount of guarantees and endorsements cannot exceed 50% of the Company's net asset value for the current year.
2. The amount of each guarantee and endorsement cannot exceed 20% of the Company's net asset value for the current year.
3. If the amount of each guarantee and endorsement reaches \$10,000, the aggregate of the amount of guarantee and endorsement, long-term investment, and fund financing cannot exceed 30% of the Company's net asset value stated in recent financial statements.
4. For guarantees and endorsements to those companies with business contact, the accumulated amount cannot exceed the trading amount between the two parties for the current year.
5. For companies that are more than 90% directly or indirectly owned by the Company, the amount of each guarantee and endorsement cannot exceed 10% of the Company's net asset value.
6. For companies that are 100% directly or indirectly owned by the Company, the amount of each guarantee and endorsement is not restricted to item 1, but cannot exceed the Company's net asset value for the current year.
7. The total amount of guarantees and endorsements of the Company and its subsidiaries cannot exceed 50% of the Company's net asset value for the current year. The amount of guarantees and endorsements of the Company and its subsidiaries for each company cannot exceed 20% of the Company's net asset value for the current year.

Note 3: Maximum amount for guarantees and endorsements of TRI:

1. The total amount of guarantees and endorsements cannot exceed 40% of the Company's net asset value for the current year, and for companies that are 100% directly or indirectly owned by the Company, the amount of each guarantee and endorsement cannot exceed 20% of the Company's net asset value, and for all other entities, the amount of each guarantee and endorsement cannot exceed 10% of the Company's net asset value for the current year.
2. The total amount of guarantees and endorsements of the Company and its subsidiaries cannot exceed 40% of the Company's net asset value for the current year. The amount of guarantees and endorsements of the Company and its subsidiaries for each company cannot exceed 20% of the Company's net asset value for the current year.

Note 4: Relationship with the Company:

1. The company has business relationship.
2. Subsidiaries in which the Company holds more than 50% of its total outstanding common shares.
3. The investee company which is held more than 50% of its total outstanding common shares by the Company and its subsidiaries.
4. For companies that are 90% directly or indirectly owned by the Company.

Note 5: The aforementioned inter-company transactions have been eliminated in the consolidated financial statements.

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3. Material securities held as of March 31, 2026 (excluding investment in subsidiaries, associates and joint ventures):

(Amounts Expressed in Thousands of New Taiwan Dollars)								
Name of holder	Category and name of security	Relationship with the Company	Account title	Ending balance				Note
				Number of shares	Carrying amount	Percentage of shares	Fair value (Note 1)	
	<u>Beneficiary Certificate</u>							
The Company	Taishin 1699 Money Market Fund	-	Current financial assets-mandatorily measured at FVTPL	259,017,916	3,736,075	- %	3,736,075	
"	Taishin Ta-Chong Money Market Fund	-	"	104,333,110	1,575,649	- %	1,575,649	
"	Yuanta De-Li Money Market Fund	-	"	46,211,789	800,000	- %	800,000	
"	Union Money Market Fund	-	"	177,184,627	2,484,589	- %	2,484,589	
"	FSITC Taiwan Money Market Fund	-	"	60,512,896	984,430	- %	984,430	
"	CTBC Hwa-win Money Market Fund	-	"	150,669,755	1,761,465	- %	1,761,465	
"	UPAMC James Bond Money Market Fund	-	"	337,924,065	5,990,684	- %	5,990,684	
"	Fubon Chi-Hsiang Money Market Fund	-	"	159,349,416	2,651,558	- %	2,651,558	
"	Yuanta Wan Tai Money Market Fund	-	"	52,214,021	838,406	- %	838,406	
"	SinoPac TWD Money Market Fund	-	"	138,627,586	2,048,846	- %	2,048,846	
"	Yuanta De-Bao Money Market Fund	-	"	92,603,566	1,180,482	- %	1,180,482	
"	Shin Kong Chi-Shin Money Market Fund	-	"	57,867,398	950,553	- %	950,553	
"	Fubon Money Market Fund	-	"	95,411,011	1,504,450	- %	1,504,450	
"	Mega Diamond Money Market Fund	-	"	290,984,256	3,877,540	- %	3,877,540	
"	Prudential Financial Money Market Fund	-	"	22,067,720	370,702	- %	370,702	
	<u>Common Stock</u>							
"	AU Optronics Corporation	-	Current financial assets at FVOCI	355,144,245	5,149,591	4.71 %	5,149,591	
"	aetherAI Co., Ltd.	-	Non-current financial assets-mandatorily measured at FVTPL	13,352,858	399,918	15.03 %	399,918	
"	Vuzix, Corp.	-	Non-current financial assets at FVOCI	7,692,307	568,527	9.43 %	568,527	
"	Rigetti Computing Inc.	-	"	3,020,412	1,356,799	1.06 %	1,356,799	
	<u>Others</u>							
"	PHI Fund, L.P.	-	Non-current financial assets-mandatorily measured at FVTPL	-	345,521	- %	345,521	
"	Matter Venture Partners Fund I, L.P.	-	"	-	955,470	- %	955,470	

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Name of holder	Category and name of security	Relationship with the Company	Account title	Ending balance				Note
				Number of shares	Carrying amount	Percentage of shares	Fair value (Note 1)	
The Company	<u>Preferred Stock</u>							
	Pasqal SAS		Non-current financial assets at FVOCI	179,160	917,750	1.65 %	917,750	
	Lumus, LTD.(C-1)	-	"	317,460	480,839	6.52 %	480,839	
	Cesium Astro, Inc.	-	"	1,284,083	1,222,293	3.60 %	1,222,293	
	SEEQC Inc.	-	"	705,556	557,320	2.72 %	557,320	
QSI	Quantinuum	-	"	1,867,840	1,599,751	0.50 %	1,599,751	
	<u>Common Stock</u>							
	Far EasTone Telecommunications Co., Ltd.	-	Current financial assets at FVOCI	3,709,000	340,857	0.10 %	340,857	
	Chuangghwa Telecom Co., Ltd.	-	"	2,720,000	361,760	0.04 %	361,760	
	<u>Beneficiary Certificate</u>							
TRI	Taishin 1699 Money Market Fund	-	Current financial assets-mandatorily measured at FVTPL	35,062,622	505,743	- %	505,743	
	UPAMC James Bond Money Market Fund	-	"	33,372,308	591,621	- %	591,621	
	Fubon Money Market Fund	-	"	44,607,689	703,379	- %	703,379	
	<u>Investments in debt instruments</u>							
QMIT	Fubon Life Insurance Co., Ltd. 2025 Third Issue of Subordinated Common Corporate Bonds	-	Non-current financial assets measured at amortized cost	-	600,000	- %	605,906	
	<u>Beneficiary Certificate</u>							
	Shin Kong Chi-Shin Money Market Fund	-	Current financial assets-mandatorily measured at FVTPL	22,075,592	362,623	- %	362,623	
	<u>Others</u>							
QVC	China Renewable Energy Fund, L.P.	-	Non-current financial assets-mandatorily measured at FVTPL	-	647,578	9.49 %	647,578	
	<u>Common Stock</u>							
RTK	The Company	Parent company of RTK	Non-current financial assets at FVOCI	8,108,885	2,258,324	0.21 %	2,258,324	Note 2
QCTTW	<u>Beneficiary Certificate</u>							
	Union Money Market Fund	-	Current financial assets-mandatorily measured at FVTPL	21,443,725	300,697	- %	300,697	

Note 1: The market values for unlisted companies are the net asset values. The net asset values use recent unaudited financial statements of those companies.

Note 2: The aforementioned inter-company transactions have been eliminated in the consolidated financial statements.

Note 3: This table presents the securities that the company has identified for disclosure in accordance with the materiality principle.

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4. Related-party transactions for purchases and sales with amounts exceeding the lower of \$100 million or 20% of the capital stock:

(Amounts Expressed in Thousands of New Taiwan Dollars)

Name of company	Related party	Nature of relationship	Transaction details				Reasons why and description of how the transaction conditions differ from general transactions		Accounts/notes receivable (payable)		Notes
			Purchase/Sale	Amount	Percentage of total purchases/sales	Payment terms	Unit price	Payment terms	Ending Balance	Percentage of total accounts/notes receivable (payable)	
The Company	QCH	Associate	Sales	(408,084,099)	(67.33)%	Net 120 days	-	-	516,663,289	66.03 %	
"	QCTJ	"	"	(165,039)	(0.03)%	"	-	-	514,096	0.07 %	
"	QCTK	"	"	(1,257,171)	(0.21)%	"	-	-	1,604,901	0.21 %	
"	QCT-USA	"	"	(245,975)	(0.04)%	"	-	-	364,800	0.05 %	
"	QDL(HK)	"	"	(164,047)	(0.03)%	"	-	-	-	- %	
"	TTC	"	"	(196,085)	(0.03)%	"	-	-	-	- %	
"	TCC	"	Purchases	54,612,268	9.63 %	Net 45~120 days	-	-	(14,559,416)	(3.60)%	
"	TFQ	"	"	120,157,482	21.19 %	"	-	-	(21,674,575)	(5.37)%	
"	QMB	The same ultimate parent company	"	70,915,174	12.51 %	"	-	-	-	- %	
"	QCH	Associate	"	28,057,365	4.95 %	"	-	-	-	- %	
"	QDL(HK)	"	"	118,093,826	20.82 %	"	-	-	(212,308,292)	(52.55)%	
"	QMH	The same ultimate parent company	"	28,363,683	5.00 %	"	-	-	-	- %	
QSI	TMT	Associate	Purchases	1,160,590	77.80 %	Net 90 days	-	-	(1,257,859)	(71.72)%	
"	QSS	"	"	231,401	15.51 %	"	-	-	(333,519)	(19.02)%	
QSA	QSI	The same ultimate parent company	Sales	(231,401)	(99.61)%	"	-	-	333,519	99.96 %	
TMT	"	"	"	(1,160,590)	(99.47)%	"	-	-	1,257,859	99.70 %	
QCH	The Company	Ultimate parent company	Purchases	408,084,099	64.70 %	Net 45~120 days	-	-	(516,663,289)	(66.37)%	
"	"	"	Sales	(28,057,365)	(4.46)%	"	-	-	-	- %	
"	QSI-USA	Associate	"	(2,104,877)	(0.33)%	"	-	-	3,358,133	0.79 %	
"	QMN	"	Purchases	4,425,454	0.70 %	Net 120 days	-	-	(3,436,080)	(0.44)%	
QCT-USA	The Company	Ultimate parent company	"	245,975	100.00 %	"	-	-	(364,800)	(98.52)%	
QCTK	"	"	"	1,257,171	100.00 %	"	-	-	(1,604,901)	(100.00)%	
QCTJ	"	"	"	165,039	59.23 %	"	-	-	(514,096)	(100.00)%	
QDL(HK)	"	"	Sales	(118,093,826)	(90.09)%	Net 45~120 days	-	-	212,308,292	99.63 %	
"	"	"	Purchases	164,047	0.13 %	Net 120 days	-	-	-	- %	
QSI-USA	QCH	Associate	"	2,104,877	76.32 %	"	-	-	(3,358,133)	(100.00)%	

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Name of company	Related party	Nature of relationship	Transaction details				Reasons why and description of how the transaction conditions differ from general transactions		Accounts/notes receivable (payable)		Notes
			Purchase/ Sale	Amount	Percentage of total purchases/ sales	Payment terms	Unit price	Payment terms	Ending Balance	Percentage of total accounts/ notes receivable (payable)	
QMB	The Company	Ultimate parent company	Sales	(70,915,174)	(91.22)%	Net 45~120 days	-	-	-	- %	
"	TFQ	The same ultimate parent company	"	(3,903,145)	(5.02)%	"	-	-	2,405,175	4.03 %	
"	TCC	"	"	(1,302,166)	(1.67)%	"	-	-	942,909	1.58 %	
"	TFQ	"	Purchases	786,088	1.03 %	Net 45~120 days	-	-	(489,143)	(0.51)%	
QMN	QCH	Associate	Sales	(4,425,454)	(100.00)%	Net 120 days	-	-	3,436,080	99.81 %	
TCC	The Company	Ultimate parent company	"	(54,612,268)	(88.46)%	Net 45~120 days	-	-	14,559,416	47.11 %	
"	TTC	Associate	"	(7,066,345)	(11.45)%	Net 45 days	-	-	5,316,209	17.20 %	
"	QMB	The same ultimate parent company	Purchases	1,302,166	2.16 %	Net 45~120 days	-	-	(942,909)	(2.31)%	
"	QMH	"	"	2,465,505	4.09 %	"	-	-	(934,662)	(2.29)%	
TFC	QCG	"	Sales	(170,268)	(50.92)%	"	-	-	170,268	1.96 %	
TFQ	The Company	Ultimate parent company	"	(120,157,482)	(98.55)%	"	-	-	21,674,575	25.24 %	
"	QMB	The same ultimate parent company	"	(786,088)	(0.64)%	Net 45 days	-	-	489,143	0.57 %	
"	"	"	Purchases	3,903,145	3.26 %	"	-	-	(2,405,175)	(2.84)%	
TTC	TCC	"	"	7,066,345	97.69 %	"	-	-	(5,316,209)	(98.11)%	
"	The Company	Ultimate parent company	"	196,085	2.71 %	Net 120 days	-	-	-	- %	
QMH	"	"	Sales	(28,363,683)	(91.74)%	Net 45~120 days	-	-	-	- %	
"	TCC	The same ultimate parent company	"	(2,465,505)	(7.97)%	"	-	-	934,662	3.68 %	
QCG	TFC	Associate	Purchases	170,268	53.84 %		-		(170,268)	(100.00)%	

Note 1: The purchase/sale prices listed above are not comparable to the one for other trading partners. There is no significant difference in terms and conditions of the agreed payment terms and general purchasing terms.

Note 2: The aforementioned inter-company transactions have been eliminated in the consolidated financial statements.

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5. Receivables from related parties with amount exceeding the lower of \$100 million or 20% of capital stock:

(Amounts Expressed in Thousands of New Taiwan Dollars)								
Name of related party	Related-party	Nature of relationship	Ending balance	Turnover rate	Past-due receivables from related party		Amount received in subsequent period	Loss allowance
					Amount	Action taken		
The Company	QCH	Associate	516,663,289	3.54	-	-	121,344,881	-
"	"	"	89,710,718	-	-	-	-	-
"	QCTJ	"	514,096	0.81	-	-	443,686	-
"	QCTG	"	295,516	0.26	-	-	-	-
"	QCTK	"	1,604,901	3.85	-	-	624,607	-
"	QCT-USA	"	364,800	2.43	-	-	349,286	-
"	QMB	"	21,057,185	-	-	-	-	-
"	QMH	"	246,823	-	-	-	-	-
QSS	QSI	Parent company	333,519	1.40	-	-	-	-
TMT	"	"	1,257,859	3.58	-	-	-	-
TRI	TRS	Associate	122,964	2.21	8,747	-	-	-
TCC	The Company	Ultimate parent company	14,559,416	21.36	-	-	-	-
"	TTC	Associate	5,316,209	5.07	-	-	-	-
TFQ	The Company	Ultimate parent company	21,674,575	24.79	-	-	-	-
"	QMB	The same ultimate parent company	489,143	6.07	-	-	-	-
TFC	TCC	Associate	278,624	0.83	-	-	-	-
"	The Company	Ultimate parent company	7,879,087	-	-	-	-	-
"	QCG	The same ultimate parent company	170,268	8.00	-	-	-	-
QMN	QCH	"	3,436,080	5.20	-	-	-	-
QCH	QSI-USA	"	3,358,133	2.57	-	-	-	-
QCN	QSN	"	428,798	0.06	-	-	-	-
QDL(HK)	The Company	Ultimate parent company	212,308,292	3.09	-	-	-	-
QMB	TCC	The same ultimate parent company	942,909	2.41	-	-	-	-
"	TFQ	"	2,405,175	8.29	-	-	-	-
QSI-USA	QCA	Associate	2,884,489	-	-	-	-	-
QCG	The Company	Ultimate parent company	355,116	-	-	-	-	-
QMH	TCC	The same ultimate parent company	934,662	7.67	-	-	-	-

Note: The aforementioned inter-company transactions have been eliminated in the consolidated financial statements.

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6. Business relationships and significant inter-company transactions:

(Amounts Expressed in Thousands of New Taiwan Dollars)

Number (Note 1)	Name of the company	Name of the counter-party	Nature of relationship (Note 2)	Intercompany transactions			
				Account name	Amount	Trading terms	Percentage of the consolidated net revenue or total assets (Note 3)
0	The Company	QCH、QCT-USA、 QDL(HK)、QCTK、QCTJ、 ITC	1	Sales	410,112,416	Terms not comparable to other general trading partners	50.68 %
"	"	TFQ、TCC、QMB、 QDL(HK)、QCH、QMH	1	Purchases	420,199,798	Terms not comparable to other general trading partners	51.93 %
"	"	QCH、QCT-USA、QCTJ、 QCTK	1	Accounts receivable	519,147,086	The same as the term for other general trading partners	29.69 %
"	"	QCH	1	Long-term receivables	89,710,718	The same as the term for other general trading partners	5.13 %
"	"	TCC、TFC、TFQ、 QDL(HK)、QCG	1	Accounts payable	256,776,486	The same as the term for other general trading partners	14.69 %

Note 1: The numbers denote the following:

1. 0 represents the Company.
2. Subsidiaries are listed by names and numbered starting with 1.

Note 2: Relationship with the listed companies:

1. The Company to subsidiary
2. Subsidiary to the Company
3. Subsidiary to subsidiary

Note 3: The transaction amount is calculated as a proportion of the consolidated revenue or assets. If categorized as an asset or liability, the calculation is compared with the consolidated assets; if categorized as income or loss, the calculation is compared with the consolidated income or loss.

(b) Information on investees:

For the three months ended March 31, 2026, the following is the information on investees (excluding information on investees in Mainland China):

(Amounts Expressed in Thousands of New Taiwan Dollars)

Name of the investor	Name of investee	Location	Major operations	Initial investment amount		Balance as of March 31, 2026			Net income (loss) of the investee	Investment income (loss)	Note
				March 31, 2026	December 31, 2025	Shares	Ratio of shares	Carrying amount			
The Company	QCJ	Japan	After-sales service and sale of computers and telecommunication products	3,115	3,115	200	100.00 %	1,805	(213)	(213)	
"	QIL and its subsidiaries	Cayman, U.S.A., etc.	Investment company, holding company, sale, manufacture and after- sales service of computer peripherals	67,078,741	55,856,551	209,653,825	100.00 %	87,320,820	(824,456)	(2,041,208)	Note 1
"	QSI and its subsidiaries	Taiwan	Manufacture and sale of computer storage devices and peripherals	243,142	243,142	82,881,664	29.78 %	3,403,478	125,885	37,483	
"	QVC	Taiwan	Venture capital	2,000,133	2,000,133	200,000,000	100.00 %	1,964,299	25,695	25,695	
"	QADC	U.S.A	Research and development of electronic products	31,995	31,995	1,000,000	100.00 %	15,369	(898)	(898)	
"	QCTI	Taiwan	Investment company	600,000	600,000	60,000,000	100.00 %	663,357	3,112	3,112	

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Name of the investor	Name of investee	Location	Major operations	Initial investment amount		Balance as of March 31, 2026			Net income (loss) of the investee	Investment income (loss)	Note
				March 31, 2026	December 31, 2025	Shares	Ratio of shares	Carrying amount			
The Company	QMIT and its subsidiaries	Taiwan	Electronic company and import and export business and wholesale of electronic products	232,750	232,750	17,500,000	75.19 %	360,651	3,644	2,740	
"	RTK and its subsidiaries	Taiwan	Design, manufacture, processing, distribute and sale of satellite guided navigation systems and peripherals, navigated maps, and digital maps	807,586	807,586	18,603,598	36.76 %	161,141	5,354	1,968	
"	QCTTW and its subsidiaries	Taiwan	Sale of computers and peripherals	741,995	741,995	48,200,000	100.00 %	93,940	(87,398)	(87,383)	
"	EBN Technology Corporation	Taiwan	Manufacture of electronic components	125,625	125,625	8,375,000	25.00 %	-	(1,118)	-	
"	QMB	Thailand	Manufacture and sale of computers, peripherals and consumer products	3,126,498	3,126,498	699,999,997	100.00 %	8,543,265	982,288	916,775	Note 1
"	QCTS	Singapore	Sale and after-sales service of computer peripherals	79,988	79,988	2,500,000	100.00 %	28,673	(4,347)	(4,347)	
"	LIONS Taiwan Technology Inc.	Taiwan	Sale of computers and peripherals	173,632	173,632	4,574,146	15.80 %	97,792	(17,170)	(2,843)	
"	QMH	Vietnam	Manufacture and sale of computers, peripherals and consumer products	3,199,500	3,199,500	-	100.00 %	2,648,599	(447,447)	(343,048)	Note 1
"	QSDC	Singapore	Research and development of electronic products	48,285	48,285	1,500,000	100.00 %	38,902	(1,459)	(1,459)	
"	QMHP	Vietnam	Providing accommodation services to domestic and foreign experts and workers in the industrial park.	159,975	159,975	-	100.00 %	158,774	(543)	(543)	
"	Wellheart Medical, Inc.	Cayman	Research and development and manufacture of medical equipment	127,942	127,942	2,192,315	11.11 %	90,273	(21,976)	(2,442)	
QSI	QSI (CAYMAN)	Cayman	Investment company	1,239,771	1,239,771	-	100.00 %	1,309,718	(67,062)	(66,996)	Note 1
"	NU Inc.	Taiwan	Wholesale and retail of computers and peripherals	86,709	86,709	3,862,227	29.80 %	21,241	(1,019)	(287)	
"	EBN Technology Corporation	Taiwan	Manufacture of electronic components	10,978	10,978	1,001,000	2.98 %	-	(1,118)	-	
"	TMT	Thailand	Manufacture and sale of computer peripheral storage devices and related components	1,446,975	1,446,975	15,999,998	100.00 %	2,463,494	16,432	16,422	Note 1
"	TRI	Taiwan	Manufacture and sale of industrial collaborative robots	825,368	825,368	69,757,000	66.68 %	4,549,624	67,774	47,974	Note 1
"	JVM	Malaysia	Sale of computer peripheral storage devices and related components	15,214	15,214	2,040,000	51.00 %	26,374	449	229	
"	TMM	Malaysia	Manufacture and sale of computer peripheral storage devices and related components	69,765	69,765	10,000,000	100.00 %	75,152	(3,068)	(3,068)	

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Name of the investor	Name of investee	Location	Major operations	Initial investment amount		Balance as of March 31, 2026			Net income (loss) of the investee	Investment income (loss)	Note
				March 31, 2026	December 31, 2025	Shares	Ratio of shares	Carrying amount			
QSI (CAYMAN)	QSL (BVI)	BVI	Investment company	976,487	976,487	-	100.00 %	1,284,724	(67,287)	(67,287)	
QSL (BVI)	QHH	Hong Kong	Investment company	886,219	886,219	-	100.00 %	1,275,487	(67,301)	(67,301)	
TRI	TRH	Hong Kong	Investment company	120,943	120,943	4,000,000	100.00 %	35,142	10,545	10,545	
"	TRG	BVI	Investment company	2,217,226	-	50	100.00 %	2,252,041	12,289	12,289	
JVM	JVMT	Thailand	Sale of computer peripheral storage devices and related components	5,425	5,425	-	100.00 %	4,632	-	-	
QCTI	QSI and its subsidiaries	Taiwan	Manufacture and sale of computer storage devices and peripherals	33,526	33,526	1,212,000	0.44 %	54,467	125,885	468	
"	RTK and its subsidiaries	Taiwan	Design, manufacture, processing, distribute and sale of satellite guided navigation systems and peripherals, navigated maps, and digital maps	8,571	8,571	409,194	0.81 %	26,438	5,354	43	
"	QMIT and its subsidiaries	Taiwan	Electronic company and import and export business and wholesale of electronic products	115,500	115,500	5,775,000	24.81 %	120,256	3,644	904	

Note 1: The difference between the investee's net income and the investor's recognized income mainly derived from the unrealized gross profit from sales.

Note 2: The aforementioned inter-company transactions have been eliminated in the consolidated financial statements.

(c) Information on investment in Mainland China:

1. The names of investees in Mainland China, the main business and products, and other information:

(Amounts Expressed in Thousands of New Taiwan Dollars)

Name of the investee in Mainland China (Note 2)	Main business and products	Total amount of capital surplus	Method of investment (Note 1)	Accumulated outflow of investment from Taiwan as of January 1, 2026	Investment flows		Accumulated outflow of investment from Taiwan as of March 31, 2026	Net income (loss) of the investee	Direct /indirect shareholding (%) by the Company	Current investment gains and losses (Note 2)	Carrying Amount	Accumulated remittance of earnings in current period
					Outflow	Inflow						
The Company												
TFC (2)1) (Note 4)	Manufacture and sale of computers and peripherals	3,841,000	(2)	1,961,594	-	-	1,961,594	(340,984)	100.00 %	(340,984)	10,205,496	2,264,145
TCC (2)1)	Manufacture and sale of computers and peripherals	4,098,560	(2)	3,735,258	-	-	3,735,258	781,452	100.00 %	781,452	17,976,283	14,693,265
TTC (2)1)	Sale and after-sales service of computers and peripherals	714,768	(2)	763,017	-	-	763,017	135,162	100.00 %	135,162	2,828,216	921
TLC (2)1)	After-sales service of laptop computers	256,062	(2)	252,761	-	-	252,761	(10,893)	100.00 %	(10,893)	1,722,918	13,131
TGC (2)1)	Manufacture and sale of computers and peripherals	316,852	(2)	313,551	-	-	313,551	8,173	100.00 %	8,173	1,001,534	45,867
TWW (2)1)	Warehousing services	303,953	(2)	303,953	-	-	303,953	2,665	100.00 %	2,665	1,016,001	-
TFQ (2)1)	Processing, manufacture and sale of computers	9,534,510	(2)	9,534,510	-	-	9,534,510	1,408,196	100.00 %	1,408,196	37,869,951	-

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Name of the investee in Mainland China (Note 2)	Main business and products	Total amount of capital surplus	Method of investment (Note 1)	Accumulated outflow of investment from Taiwan as of January 1, 2026	Investment flows		Accumulated outflow of investment from Taiwan as of March 31, 2026	Net income (loss) of the investee	Direct /indirect shareholding (%) by the Company	Current investment gains and losses (Note 2)	Carrying Amount	Accumulated remittance of earnings in current period
					Outflow	Inflow						
TWQ (2)3	Warehousing services	159,975	(2)	159,975	-	-	159,975	2,495	100.00 %	2,495	420,191	-
TNC (2)1	Manufacture and sale of computers, mobile communication storage device peripherals and accessories	8,638,010	(2)	8,638,010	-	1,877,627	6,760,383	21,521	100.00 %	21,521	-	-
TCQ (2)1	Manufacture and sale of computers, mobile communication storage device peripherals and accessories	1,599,750	(2)	1,599,750	-	-	1,599,750	13,195	100.00 %	13,195	2,350,001	-
KSH (2)1	Manufacture and sale of precision machinery, peripherals and metallic molds	575,910	(2)	252,441	-	-	252,441	(34,688)	100.00 %	(34,688)	1,157,986	-
YDCQ (2)1	Sale of servers and switches	31,995	(2)	31,995	-	-	31,995	2,666	100.00 %	2,666	361,728	-
DSY (2)3	Manufacture and sale of optical equipment and electric components	89,705	(2)	23,120	-	-	23,120	(783)	25.77 %	(202)	31,229	-
QCTBJ (2)1	Software technology development, advisory service, sale of servers and switches	4,624	(2)	4,624	-	-	4,624	71	100.00 %	71	5,012	3,443
ZYES (2)1	Manufacture and sale of computers and peripheral components	2,655,585	(2)	2,836,997	-	-	2,836,997	442	100.00 %	442	95,378	-
SJDT (2)3	Manufacture and sale of computers and peripheral components	230,364	(2)	43,769	-	-	43,769	(4,329)	100.00 %	(4,329)	321,501	-
QSI												
QSS	Manufacture and sale of computer peripheral storage devices and related components	639,900	(2)	639,900	-	-	639,900	(67,342)	100.00 %	(67,342)	1,263,536	3,461,287
TRS	After-sales service and sale of industrial collaborative robots and related components	127,980	(2)	127,980	-	-	127,980	10,545	100.00 %	10,545	52,926	-
QVC												
Guangsheng (Tianjin) Technology Co., Ltd.(2)3	Computer software development and related consulting and technical services; sale of computer hardware and software and electronic products	69,359	(2)	13,872	-	-	13,872	-	20.00 %	-	-	-

QUANTA COMPUTER INC. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

MARCH 31, 2026 AND 2025

**(AMOUNTS EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS,
UNLESS OTHERWISE SPECIFIED)**

2. Limitation on investment in Mainland China:

(Amounts Expressed in Thousands of New Taiwan Dollars)

Company	Accumulated Investment in Mainland China as of March 31, 2026 (Foreign Currencies in Thousands)	Investment Amounts Authorized by Investment Commission MOEA (Foreign Currencies in Thousands)	Limitation on Investment in Mainland China Authorized by Investment Commission MOEA (Note 3)
The Company	30,455,325 (USD 951,846)	38,398,010 (USD 1,200,125)	-
QSI	639,900 (USD 20,000)	639,900 (USD 20,000)	-
TRI	127,980 (USD 4,000)	127,980 (USD 4,000)	4,122,714
QVC	13,872 (USD 436)	1,020,967 (USD 31,587)	1,163,024

Note 1: Investments in Mainland China are differentiated by the following three methods:

- (1) Direct investment in Mainland China with remittance through a third region.
- (2) Indirect investment in Mainland China through an existing investee company in a third region.
- (3) Other methods

Note 2: Recognition of investment gains or losses during current period is pursuant to the following:

- (1) If the corporation is in the set-up phase, notes are required.
- (2) Recognition basis of investment gains or losses is determined by the following three types, and related notes are required.
 - 1) Financial statements of the investee company were audited and certified by an international firm in cooperation with an R.O.C. accounting firm.
 - 2) Financial statements of the investee company were audited and certified by the external accountant of the parent company.
 - 3) Others

Note 3:(1) Maximum limitation of the Company and QSI: In accordance with the Regulations Governing the Approval of Investment or Technical Cooperation in Mainland China revised on August 29, 2008, the Company obtained the certificate of qualified operating headquarters issued by the Industrial Development Bureau, Ministry of Economic Affairs, and therefore no limitations on investment in Mainland China.

- (2) Maximum limitation of QVC: the maximum limitation is the higher of \$80,000 for small and medium size enterprises or sixty percent of these companies' net asset value or consolidated net asset value.

- (3) Maximum limitation of TRI: the maximum limitation is the higher of sixty percent of other enterprises' net asset value or consolidated net asset value.

Note 4: The difference between the issued capital and cumulative investment amount is the difference between the price paid and the cost of the machinery equipment.

Note 5: Viscosity (Cayman) Holding Company Limited, an investee of the Company, holds investments in Mainland China. Therefore, the Company has increased USD72 thousand investment amount authorized by the Investment Commission, MOEA.

Note 6: China Renewable Energy Fund, L.P. (CREF), an investee of QVC, holds investments in Mainland China. Therefore, QVC has increased USD29,399 thousand investment amount authorized by the Investment Commission, MOEA.

Note 7: PHI Fund, L.P., an investee of the Company, holds investments in Mainland China. Therefore, the Company has increased USD4,720 thousand investment amount authorized by the Investment Commission, MOEA.

Note 8: Achi Capital Partners Fund L.P., an investee of the Company, holds investments in Mainland China. Therefore, the Company has increased USD564 thousand investment amount authorized by the Investment Commission, MOEA.

Note 9: TNC has completed its liquidation process in January 2026. However, as of March 31, 2026, it has not yet obtained the record letter from the Investment Commission, MOEA.

3. Significant transactions:

The significant inter-company transactions with the subsidiary in Mainland China for the three months ended March 31, 2026, which were eliminated in the preparation of consolidated financial statements, are disclosed in "Information on significant transactions".

QUANTA COMPUTER INC. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

MARCH 31, 2026 AND 2025

**(AMOUNTS EXPRESSED IN THOUSANDS OF NEW TAIWAN DOLLARS,
UNLESS OTHERWISE SPECIFIED)**

(14) Segment Information

The Group's operating segments financial information and reconciliation were as follows:

For the Three Months Ended March 31, 2026	Electronic department	Other department	Adjustment and elimination	Total
Operating revenue:				
Revenue from external customers	\$ 808,285,105	935,950	-	809,221,055
Inter-segment revenue	838,794,582	181,742	(838,976,324)	-
Total	\$ 1,647,079,687	1,117,692	(838,976,324)	809,221,055
Reportable segment profit (loss)	\$ 22,947,522	(463,557)	(1,177,852)	21,306,113
For the Three Months Ended March 31, 2025				
Operating revenue:				
Revenue from external customers	\$ 484,416,245	1,255,745	-	485,671,990
Inter-segment revenue	467,534,710	222,251	(467,756,961)	-
Total	\$ 951,950,955	1,477,996	(467,756,961)	485,671,990
Reportable segment profit (loss)	\$ 21,687,825	(1,476,896)	(513,787)	19,697,142